



ANNUAL COMPREHENSIVE FINANCIAL REPORT

FOR THE FISCAL YEAR ENDED JUNE 30, 2022



**PLEASANT VALLEY
COMMUNITY SCHOOL DISTRICT
BETTENDORF, IA**

Annual Comprehensive Financial Report of the

Pleasant Valley Community School District
Bettendorf, Iowa

For the Fiscal Year Ended June 30, 2022

Official Issuing Report

Mike Clingingsmith, Chief Financial Officer

Office Issuing Report

Administration Center

Introductory Section

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**Pleasant Valley
Community School
District**

BRIAN STRUSZ, Ed.S.
Superintendent

D. MICHAEL ZIMMER
Director of Secondary Education

Belmont Administration Center

MICHAEL L. CLINGINGSMITH, C.P.A.
Chief Financial Officer

TONY HIATT
Director of Elementary Education

JILL KENYON
Director of Student Services

December 14, 2022

Nikhil Wagle, President,
Members of the Board of Education,
and the Citizens of Pleasant Valley Community School District
Bettendorf, Iowa

We are pleased to submit to you the Annual Comprehensive Financial Report (ACFR) of the Pleasant Valley Community School District (the District) for the fiscal year ending June 30, 2022. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the entire District. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Independent Audit/Legal Requirements

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitively bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards and the annual single audit requirements of Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements and combining and individual fund statements and other schedules is included in the financial section of this report. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plans (if any) are included in the Compliance Section of this report.

All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Pleasant Valley Community School District's financial statements for the year ended June 30, 2022. The independent auditor's report is located at the front of the financial section of the ACFR.

Internal Control

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school district adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Basis of Presentation

The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Government units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Financial Accounting for Iowa Schools and Area Education Agencies issued by the Iowa Department of Education and Chapter 11 of the Code of Iowa. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Profile of the District

The Pleasant Valley Community School District is proud to be considered the #1 school district in the state of Iowa (Niche). Our 636 faculty and staff serve more than 5,400 students in the 2021-2022 school year. Incorporated in 1962, our families live in Bettendorf, LeClaire, Panorama Park, Riverdale, and unincorporated Pleasant Valley. In the 2021-2022 school year, the district operated two PK-6 elementary schools, four K-6 elementary schools, one 7-8 junior high, and one 9-12 high school. Construction on the newest elementary school, Forest Grove, was substantially completed during the 2020-21 school year and opened for the 2021-22 school year. All buildings are air-conditioned and equipped with state of the art technology.

We are also proud that our Spartan family continues to grow. In the past decade, Pleasant Valley's enrollment has increased by 37%, due in large part to our staff and families' commitment to excellence, but also thanks to community and business development. The influx of new families has strengthened our schools, adding new culture and diversity to our rich history.

The District is also located in the Quad Cities Metropolitan area of eastern Iowa and western Illinois. The Quad Cities (Davenport-Moline-Rock Island, IA-IL Metro Area) had a population of 384,324 according to the decennial 2020 census by the U.S. Census Bureau. The resident population of the Pleasant Valley Community School District was approximately 26,042 in the year 2020 according to the U.S. Census Bureau.

The District provides a full range of educational services for those attending the Pleasant Valley Community School District including basic, regular and enriched academic education, specialized instruction for handicapped children, vocational education and many individualized programs such as specialized instruction for students at-risk. There are no charter school relationships within the District.

The District is supported financially by state aid, property taxes, state and federal grants for special projects and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. School elections are held in November of odd numbered years. The District is divided into seven geographical director districts. Each member of the school board serves a particular geographical director district. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all fund of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Economic Condition and Outlook

The Quad Cities region is a bi-state, six-county region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois and is the heart of the Midwest, a proud, forward-thinking family of communities connected by one of the world's most renowned rivers, the Mississippi River.

The Quad Cities is within a 300-mile radius of 37 million people and just hours of major markets like Chicago, Minneapolis-St. Paul, Des Moines, Omaha, Kansas City and Indianapolis.

The Quad Cities is the home and headquarters of Deere & Company, the Fortune 100 icon and global [agricultural equipment innovator](#) is, and more than 150 Fortune 500 & 1000 companies with a presence in the Quad Cities. It is where the major military installation, [Rock Island Arsenal](#), operates and achieves its critical mission, supported by the QC [advanced metals and materials manufacturing](#) sector and thousands of highly skilled workers. The Arconic aluminum manufacturing plant is located within the boundaries of the Pleasant Valley Community School District and employs approximately 2,000 employees.

The Quad Cities economic strength has grown over the past five years by 5.2%. Expanding businesses and companies new to the region – including [Amazon and Fair Oaks Foods](#) – have acted on their confidence in the Quad Cities economy: investing a total \$1.5 billion in capital and creating more than 4,500 new jobs.

The unemployment rate in Scott County, Iowa averaged 3.5% between January, 2022 to October, 2022. This was lower than the national average of 3.7%.

The District continues to experience significant annual growth with an approximately 179 student increase in certified enrollment in the 2021-22 fiscal year. The District has experienced an average annual growth in certified enrollment of 146.4 students per year for the last decade from the 2012-13 school year through the 2021-22 school year. In the past decade, Pleasant Valley's enrollment has grown by 37.0%, due in large part to our quality schools, excellent community support, and strong businesses in the area. The influx of new families has strengthened our schools, adding new culture and diversity to strong Midwestern values, allowing Pleasant Valley to not only increase in our number of students, but also the growth that each student experiences by being a part of our school community. The District is expected to see continued growth in enrollment. This continued growth presents infrastructure challenges that are being addressed through the District's long range planning process.

Taxable valuations of property in the District continue to increase each year also. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 5.6%. In the 2021-22 fiscal year (taxable valuations as of January 1, 2020), the increase was 6.2%. The Cities of Bettendorf, LeClaire and Riverdale, Iowa continue to encourage job creation and capital investment through the use of tax abatements offered to entities that contribute to economic development of the Cities.

The oldest school building in the District, Cody Elementary School, was originally built in 1954 and has been very well maintained, as have all of the District's schools. Other school buildings in the District have original build dates between 1959 and 2021.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 7% to 17%. The District's solvency ratio at June 30, 2022 is 17.2%, which is a decrease from 17.8% at June 30, 2021.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. Certified enrollment for the District continues to increase. The district cost per pupil for 2021-2022 was \$7,330.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid. The supplemental state aid has been complimented with increased enrollment allowing the District to not need to make budget cuts in recent years.

The COVID-19 outbreak is disrupting business across a range of industries in the United States. A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Global

supply chain disruption and significant increases in inflation have driven the prices of goods and services past projected budget allocations. As a result, local, regional and national economies, including that of the District, may be adversely impacted. The extent of the financial impact of COVID-19 will depend on future developments, including the duration and spread, which are uncertain and cannot be predicted. Due to the uncertainties surrounding the outbreak, management cannot presently estimate the potential impact on the District's operations and finances.

Debt Administration

As of June 30, 2022 the District had \$39,268,784 of debt applicable to its legal debt margin. This amount is well below the District's bonding capacity of \$171,310,872.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term and long-term nonnegotiable certificate of deposits. The cash balances of the District's funds are pooled. Interest revenue of \$174,198 was earned on all deposits and investments for the fiscal year ending June 30, 2022.

The District currently covers property and liability losses with traditional insurance coverage. The group health plan is partially self-funded and dental plan is fully self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source.

For long-term planning, the District utilizes a "Comprehensive Financial Planning Model" to project out various scenarios and how they could affect the financial health of the District in the next five years. The District also has a "Five Year Capital Projects Plan" which is updated at least annually for projecting future capital project needs in the District.

Major Initiatives and Achievements

An important element in maintaining an excellent educational program is the management of fiscal and capital resources. The District's use of a long-range planning process, a growing enrollment and an increasing property tax base have helped to achieve and maintain the following results:

- Salary and benefit schedules that attract and retain a high quality faculty and staff
- Excellent facilities and equipment maintained and updated on an ongoing basis
- Broad community support for bond referendums, Instructional Support Levy, Revenue Purpose Statement renewal for the Secure an Advanced Vision for Education (SAVE) one cent sales tax for school infrastructure and voted Physical Plant and Equipment Levy (PPEL)

The District has 393 certified teachers under contract in the District. 66% of the teachers have a master's degree and / or graduate hours beyond their master's. The development of life-long learners is a key strategic goal. The District models this expectation in the selection, professional development, and retention of its faculty and staff. Supporting the belief that quality teaching is the single most important variable a District can influence. The District provides:

- A rigorous two-year mentoring program for all beginning teachers
- Ongoing professional development
- An emphasis on the study and acquisition of "best practice" in the field of education

- Encouragement toward the pursuit of advanced degree work
- Leadership opportunities

Following is the Pleasant Valley Community School District's Mission Statement:

The mission of the Pleasant Valley Community School District as a premier innovative district in the Midwest is to prepare students to succeed in a diverse, global society by providing superior quality opportunities in a safe environment for each student to become a life-long learner and by continuously improving and customizing the educational experience.

The Pleasant Valley Community School District's Vision Statement is:

It is the vision of the Pleasant Valley Community School District that we shall provide the finest academic and extra-curricular programs in the state - not in some things, but in everything; not for some students but for every student.

The District is proud of its academic, activities and athletics programs, which includes the following highlights from the 2021-22 school year:

SPARTAN SPOTLIGHTS

ACADEMICS



- PVHS named National Blue Ribbon School - just one of 325 schools in the country.
- Sara Russell is named Iowa Teacher of the Year
- The Pleasant Valley Community School District has been named the #1 school district in the state of Iowa ([Niche](#)).
- Pleasant Valley High School and Pleasant Valley Junior High are ranked the #1 High School and Middle School in the state of Iowa by Niche.
- Bridgeview Elementary, Cody Elementary, Hopewell Elementary, Pleasant View Elementary, Riverdale Heights Elementary ranked in the top 15 Best Public Elementary Schools in Iowa by Niche. Because Forest Grove was a new school in the 21-22 school year, they were not scored for this report.
- US News & World Report National Silver Medal Award for Best High Schools in Iowa - ranked #2 High School in Iowa
- Three of our elementary schools ranked in the top 1.48% of schools according to the Iowa School Performance Profile. The Profile scores schools based on a number of factors, including performance on assessments, growth on student scores, and post-secondary readiness. Because Forest Grove was a new school in the 21-22 school year, they were not scored for this report. For more information on the Iowa School Performance Profile, [click here](#).



ACADEMICS

- PVHS Student, Kavya Kalathur, named U.S. Presidential Scholar, one of 161 in the country.
- 16 National Merit Scholars
- 70 seniors earned the Seal of Bi-Literacy
- 12 students earn Personal Finance Exam Award
- 2 signed registered apprentices
- 4 Iowa Certificate of Excellence awards given in American Mathematics Competition Exams

FINE ARTS

Band

- 710 band members in grades 6-12
- 11 students accepted to the Iowa All-State Band (school record)
- 19 students accepted to South East Iowa District Honor Band (most students accepted from any school)
- Received 4 of 5 "Best in Center" awards at the State Solo and Ensemble Festival
- Winner of the South East Iowa and state finalist for the Major Landers Solo Competition: Erika Holmberg

Choir

- More than 600 choir members in grades 5-12
- 20 students in the Iowa All-State Chorus
- 1 Iowa All-State Jazz Choir participant
- 32 students selected for Iowa Opus Honor Choir, grades 5-9
- 31 students selected for the Midwest American Choral Directors Association Honors Choir, grades 7-12. This was the highest representation of any school in Iowa.
- Leading Tones selected to the Iowa Vocal Jazz Championships for the fourteenth year in a row.

Drama

- Approximately 350 participants in grades K-12
- 2 students selected for All-State Individual Speech in 1 events: Solo Acting
- 2 groups selected for All-State Large Group Speech Events: One Act, and Group Musical Theatre
- Numerous Division I ratings at state large group and individual contests
- 1 student selected to Iowa Thespian Chapter (State) Board
- Iowa Thespian Festival: 2nd Place Tech Challenge, 2 National Qualifiers for THESPY Awards
- International Thespian Festival- 1st Place Tech Challenge

Orchestra

- 404 orchestra members in grades 4-12.
- 4 students were selected for the Iowa All-State Orchestra
- 4 High School and 6 Junior High students were selected for Iowa String Teachers Association Honors Orchestra
- 6 High School and 9 Junior High students were selected for the South East Iowa String Teachers Association Honors Orchestra - The elementary honors orchestra was canceled due to COVID



ATHLETICS

Of the 21 Iowa sanctioned sports, Pleasant Valley advanced to state in 18, either as a team, an individual, or both.

2021-22 MAC Champions:

Boys Golf
Boys Cross Country
Girls Cross Country
Volleyball
Boys Basketball
Girls Basketball
Boys Track & Field

Boys Tennis
Girls Tennis
Girls Golf
Boys Soccer
Girls Soccer
Baseball

STATE CHAMPIONS

Volleyball
(1st in PVHS History)
Boys Soccer
(back to back)

STATE RUNNER-UP

Boys Golf
Girls Cross Country
Girls Golf
Boys Tennis

STATE PARTICIPANTS

Girls Swimming & Diving
13th place
Boys Cross Country
9th place
Football
State Quarterfinalist
Wrestling
5 Individual Qualifiers
19th place team
Girls Basketball
Semifinalists
Boys Swimming
6th Place
Girls Track and Field
12th Place
Boys Track and Field
11th Place
Girls Tennis
1 Individual qualifier
1 Doubles Team qualifier
Boys Tennis
2 Individual qualifiers
2 Doubles Teams
Girls Soccer
Quarterfinalist
Softball
Quarterfinalist

**ACTIVITY ACCOLADES**

Activities Director D'Anne Kroemer selected as Iowa Girls' Coaches Association Athletic Director of the Year, Finalist for National High School Athletic Coaches Association Athletic Director of the Year.

Coach Ryan Arnold named National High School Strength Coaches Association Region 6 Coach of the Year.

PVHS Choir Director Meg Byrne named Quarterfinalist for Music Educator Award by the Recording Academy.

Art - PVHS Student, Lauren McGovern, wins 3rd Place in Congressional Art Competition.

Cybersecurity Team - State Champions

Ethics Bowl - Regional Competition winner

Future Problem Solvers - 2nd Place at International Competition

Future Business Leaders of America - 14 students participated in the National Leadership Conference, competing in accounting, economics, human resource management, and other business competitions

Journalism

- 2021 Iowa Yearbook of the Year and Best Yearbook Cover
- 2021 Runner Up for News Team of the Year and Journalist of the Year
- 2021 Distinguished Site
- 31 Individual Awards - the most of in the state of Iowa
- Ms. Dyer named 2021 Iowa Journalism Teacher of the Year

Robotics - Everything That's Radical participated in the International Robotics Championship.

Spartan Assembly - 2021 Student Hunger Drive, 1st Place - collected 79,344 pounds of food and nearly \$30,000.

Certificate of Achievement for Excellence in Financial Reporting (GFOA) and Certificate of Excellence in Financial Reporting (ASBO)

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2021. This was the sixth consecutive year that the District has achieved this prestigious award from GFOA. The Association of School Business Officials (ASBO) International awarded a Certificate of Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2021. This was also the sixth consecutive year that the District has achieved this prestigious award from ASBO. In order to be awarded these certificates, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

These certificates are valid for a period of one year only. We believe that our current Comprehensive Annual Financial Report meets program requirements for both awards and we are submitting it to ASBO and GFOA to determine its eligibility for each certificate.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the County Auditor and Treasurer offices and the city and town officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Comprehensive Annual Financial Report is submitted to the Board of Directors.

Very truly yours,



Mike Clingingsmith
Chief Financial Officer



Brian Strusz
Superintendent

Pleasant Valley Community School District

Board of Education and School District Officials

Year Ended June 30, 2022

Board of Education

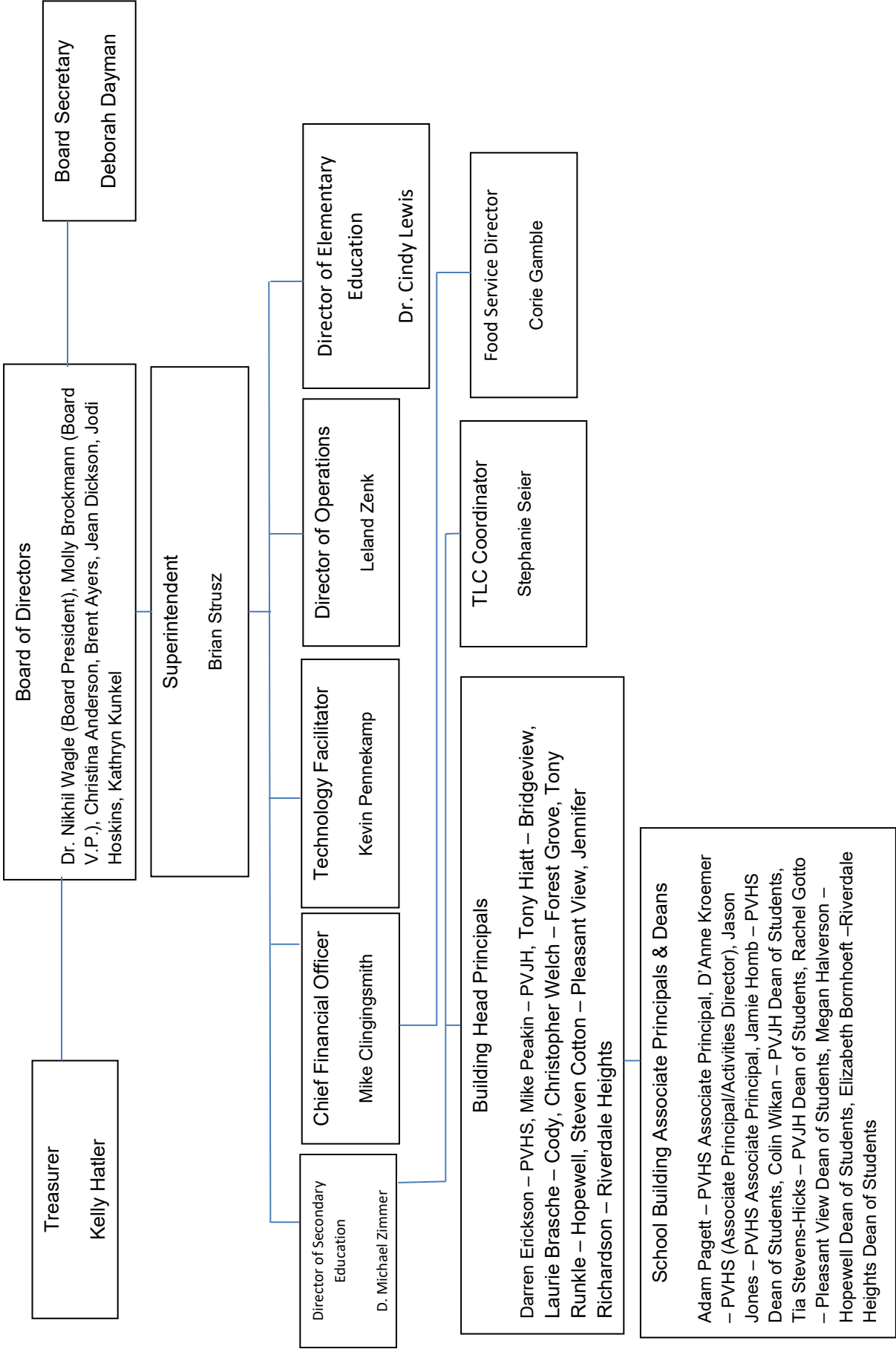
Name	Title	Term Expires
Nikhil Wagle	Board President	2023
Molly Brockmann	Board Vice President	2023
Brent Ayers	Board Member	2025
Jodi Hoskins	Board Member	2023
Kathryn Kunkel	Board Member	2025
Christina Anderson	Board Member	2023
Doug Kanwischer	Board Member	2025

School District Officials

Brian Strusz	Superintendent	2024
Tony Hiatt	Director of Elementary Education	2023
Mike Zimmer	Director of Secondary Education	2023
Mike Clingingsmith	Chief Financial Officer	2023
Deborah Dayman	Board Secretary	2022
Kelly Hatler	District Treasurer	2022
Lane & Waterman	Attorney	Indefinite

PLEASANT VALLEY COMMUNITY SCHOOL DISTRICT

Organizational Chart (As of June 30, 2022)





Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Pleasant Valley Community School District
Iowa**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2021

Christopher P. Morill

Executive Director/CEO



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

Pleasant Valley Community School District

**for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2021.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'William A. Sutter'.

William A. Sutter
President

A handwritten signature in black ink, reading 'David J. Lewis'.

David J. Lewis
Executive Director

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Independent Auditor's Report

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business-type activities, each major fund and the aggregate remaining fund information of the Pleasant Valley Community School District, as of June 30, 2022, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Pleasant Valley Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 14 to the financial statements, Pleasant Valley Community School District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 87, *Leases*. As a result, June 30, 2021 governmental activities net position is restated by \$52,009. Our opinions are not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Pleasant Valley Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Pleasant Valley Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Pleasant Valley Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-16 and 57-66 be presented to supplement the basic financial statements. Such information, is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our

inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Pleasant Valley Community School District's basic financial statements. The supplementary information, as listed on the table of contents and the Schedule of Expenditures of Federal Awards as required by Title 2, *U.S Code of Federal Regulations*, Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance), are presented for purposes of additional analysis and are not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and Schedule of Expenditures of Federal Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 28, 2022, on our consideration of the Pleasant Valley Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Pleasant Valley Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Pleasant Valley Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
November 28, 2022

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Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Pleasant Valley Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2022. We encourage readers to consider this information in conjunction with additional information that we have furnished in our transmittal letter and the District's financial statements, which follow:

2021-22 FINANCIAL HIGHLIGHTS

- The District's net position for governmental activities was \$68,473,073 at June 30, 2022 compared to \$59,182,185 at June 30, 2021, an increase of \$9,290,888 or 15.7%.
- Beginning governmental activities net position was restated from \$59,234,194 to \$59,182,185 as a result of implementation of Governmental Accounting Standards Board Statement No. 87, *Leases*.
- The District's net position for business-type activities was \$3,154,977 at June 30, 2022 compared to \$1,941,476 at June 30, 2021, an increase of \$1,213,501 or 62.5%. This large increase was mainly due to a significant increase in revenue received from the Federal government (in the School Nutrition Fund) due to student lunches being free during the entire 2021-22 fiscal year due to COVID-19.
- The District's solvency ratio (Assigned + Unassigned General Fund Balance / Actual General Fund Revenues – AEA Flowthrough) decreased from 17.8% at June 30, 2021 to 17.2% at June 30, 2022. Per the Iowa Association of School Board (IASB), solvency ratio is a financial measure that provides a picture of the cash resources on hand at fiscal year-end of a school district and represents the percent of the district's available funding. IASB recommends that this ratio be between 7 – 17%, not to exceed 25%.
- The District's certified enrollment (resident headcount) for the 2021-22 fiscal year (taken on October 1, 2021) was 5,423.6, an increase of 179.4 students or 3.4% over the 2020-2021 fiscal year certified enrollment of 5,244.2 (taken on October 1, 2020). A District's certified enrollment is used in determining funding through the Iowa state foundation formula in the fiscal year immediately after the fiscal year in which the certified enrollment count is actually taken. The District's certified enrollment has increased by 1,463.7 students (37.0%) in the last ten years and 2,304.1 students (73.9%) in the last twenty years.
- The District's long-term bonded debt decreased \$5,339,180 during the 2021-22 fiscal year due to the scheduled debt repayments and amortization of premiums and discounts.
- At the end of the 2021-22 fiscal year, the total of assigned and unassigned fund balances in the General Fund was \$10,319,009 or 16.6% of total General Fund revenues compared to the prior year's total balance of \$10,083,359 or 17.1%.
- The District's overall property tax levy rate was decreased from \$13.78 (rounded to the nearest penny) per \$1,000 taxable valuation in the 2020-21 fiscal year to \$13.76 (rounded to the nearest penny) per \$1,000 taxable valuation in the 2021-22 fiscal year.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

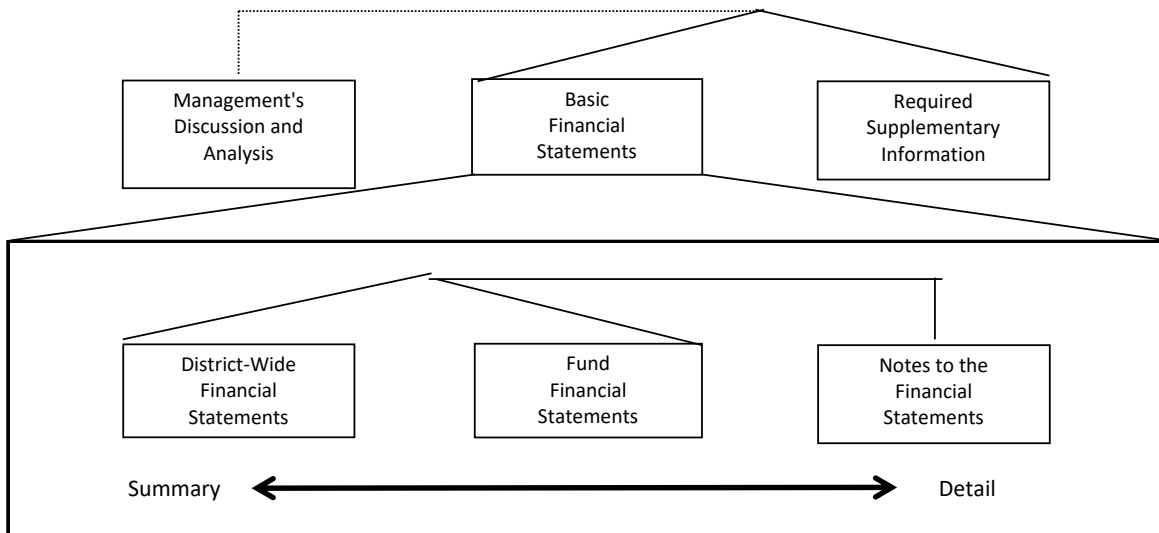
USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Pleasant Valley Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report Pleasant Valley Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Pleasant Valley Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year and information regarding the District's retiree health plan and pension plan.
- Other supplementary information provides detailed information about the nonmajor governmental funds.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Pleasant Valley Community School District Annual Financial Report



Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: school nutrition and internal service fund	Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc.
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset and deferred outflows of resources /liability and deferred inflows of resources information	All assets, deferred outflows of resources and liabilities and deferred inflows of resources, both financial and capital, short-term and long-term	Generally, assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets, deferred outflows of resources and liabilities and deferred inflows of resources, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows and liabilities and deferred inflows – are one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position are an indicator of whether financial position is improving or deteriorating, respectively. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

Business-type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information at the bottom of the governmental funds statements explains the relationship (or differences) between the two statements. The District's major governmental funds for 2021-22 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two Special Revenue Funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a balance sheet and a statement of revenues, expenditures and changes in fund balances.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business-type activities but provide more detail and additional information, such as cash flows. The District currently has two Enterprise Funds, the School Nutrition Fund and the Student Construction Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has one internal service fund, which is used to account for the District's partially self-funded health and fully self-funded dental insurance plans.

The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial Funds: These are funds for which the District faculty accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds of the District include a statement of fiduciary net position and a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the fund financial statements follow the fund financial statements.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Government-Wide Financial Analysis

Figure A-3 below provides a summary of the District's net position as of June 30, 2022 compared to June 30, 2021.

Figure A-3 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Restated				Restated		
	2022	2021	2022	2021	2022	2021	2021-22
Current and other assets	\$ 69,381,483	\$ 65,130,352	\$ 3,191,378	\$ 1,986,370	\$ 72,572,861	\$ 67,116,722	8.1%
Capital assets	95,709,103	98,530,188	669,179	740,141	96,378,282	99,270,329	-2.9%
Total assets	165,090,586	163,660,540	3,860,557	2,726,511	168,951,143	166,387,051	1.5%
Deferred outflows of resources	6,461,419	8,724,006	170,147	215,177	6,631,566	8,939,183	-25.8%
Long-term liabilities	45,822,324	79,011,109	237,263	774,080	46,059,587	79,785,189	-42.3%
Other liabilities	10,575,024	9,428,571	185,701	199,538	10,760,725	9,628,109	11.8%
Total liabilities	56,397,348	88,439,680	422,964	973,618	56,820,312	89,413,298	-36.5%
Deferred inflows of resources	46,681,584	24,762,681	452,763	26,594	47,134,347	24,789,275	90.1%
Net position:							
Net investment in capital assets	64,294,575	61,782,596	669,179	740,141	64,963,754	62,522,737	3.9%
Restricted	11,617,264	9,520,185	7,716	32,205	11,624,980	9,552,390	21.7%
Unrestricted	(7,438,766)	(12,120,596)	2,478,082	1,169,130	(4,960,684)	(10,951,466)	54.7%
Total net position	\$ 68,473,073	\$ 59,182,185	\$ 3,154,977	\$ 1,941,476	\$ 71,628,050	\$ 61,123,661	17.2%

The District's combined net position as of June 30, 2022 grew by \$10,504,389 (17.2%) over the June 30, 2021 combined net position. Net position in the governmental activities grew by \$9,290,888 (15.7%). The net position of the District's business-type activities increased by \$1,213,501 (62.5%).

The most significant factors for the increase in the combined net position of the District were the increase in the unrestricted portion of net position and the increase in the net investment in capital assets.

The District's combined net investment in capital assets increased by \$2,441,017 (3.9%) primarily due to the continued payment on long-term debt.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased by \$2,072,590 (21.7%) primarily due to revenue exceeding expenditures and transfers during the year in the restricted categorical funding, Management Fund and Capital Projects Funds.

Net position increased in governmental activities unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) by \$4,681,830 (38.6%) primarily due to the net pension liability and related deferrals of inflows and deferral of outflows of resources experiencing improved investment earnings on an actuarial basis, which reduced the District's net pension liabilities by \$4,914,058.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Net position increased in Business-Type activities by \$1,308,952 (112.0%) primarily due to a significant increase in revenue received from the Federal government (in the School Nutrition Fund) due to student lunches being free during the entire 2021-22 fiscal year due to COVID-19.

Figure A-4 shows the changes in net position for the year ended June 30, 2022 compared to the year ended June 30, 2021.

Figure A-4 Changes in Net Position From Operating Results

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Not Restated				Not Restated		
	2022	2021	2022	2021	2022	2021	2021-22
Revenues:							
Program revenues:							
Charges for services	\$ 3,824,770	\$ 3,426,468	\$ 743,024	\$ 428,604	\$ 4,567,794	\$ 3,855,072	18.5%
Operating grants and contributions	9,411,513	10,320,304	3,556,322	1,808,630	12,967,835	12,128,934	6.9%
Capital grants and contributions	-	-	-	-	-	-	0.0%
General revenues:							
Property taxes	26,622,225	25,068,564	-	-	26,622,225	25,068,564	6.2%
State foundation aid	27,262,472	24,430,506	-	-	27,262,472	24,430,506	11.6%
Unrestricted intergovernmental revenue	5,854,401	5,587,148	-	-	5,854,401	5,587,148	4.8%
Other	448,452	1,290,509	10,947	5,743	459,399	1,296,252	-64.6%
Total revenues	73,423,833	70,123,499	4,310,293	2,242,977	77,734,126	72,366,476	7.4%
Expenses:							
Instruction	42,928,035	43,782,255	-	-	42,928,035	43,782,255	-2.0%
Support services	17,823,526	17,482,480	-	-	17,823,526	17,482,480	2.0%
Noninstructional	24,945	23,195	2,877,616	1,964,268	2,902,561	1,987,463	46.0%
Other	3,575,615	3,590,068	-	-	3,575,615	3,590,068	-0.4%
Total expenses	64,352,121	64,877,998	2,877,616	1,964,268	67,229,737	66,842,266	0.6%
Change in net position before transfers	9,071,712	5,245,501	1,432,677	278,709	10,504,389	5,524,210	90.2%
Transfers	219,176	(84,150)	(219,176)	84,150	-	-	0.0%
Increase in net position	9,290,888	5,161,351	1,213,501	362,859	10,504,389	5,524,210	90.2%
Net position, beginning of year, as restated	59,182,185	54,072,843	1,941,476	1,578,617	61,123,661	55,651,460	
Net position, end of year	\$ 68,473,073	\$ 59,234,194	\$ 3,154,977	\$ 1,941,476	\$ 71,628,050	\$ 61,175,670	

In 2021-22, local taxes (property taxes and statewide sales and services tax) and state foundation aid accounted for 81.4% of the revenue from governmental activities while charges for services and grants and contributions accounted for 99.7% of the revenue from business-type activities.

The District's expenses primarily relate to instructional and support services, which account for 90.4% of the total expenses. Total District expenses increased by \$387,471 (0.6%), primarily because of increases in support services expenditures.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Total revenue for the District increased by \$5,367,650 (7.4%) in the fiscal year ended June 30, 2022. The most significant revenue category changes were due to an increase in property taxes, statewide sales and services tax, and federal funding received due to COVID-19. Property taxes increased by \$1,553,661 (6.2%) primarily due to an increase in assessed/taxable valuations in the District and the District's increased enrollment.

Figures A-5 and A-6, which follow, show charts reflecting sources of revenue and distribution of expenses for the 2021-22 fiscal year.

**Figure A-5 - Sources of Revenues for
2021-22 Fiscal Year**

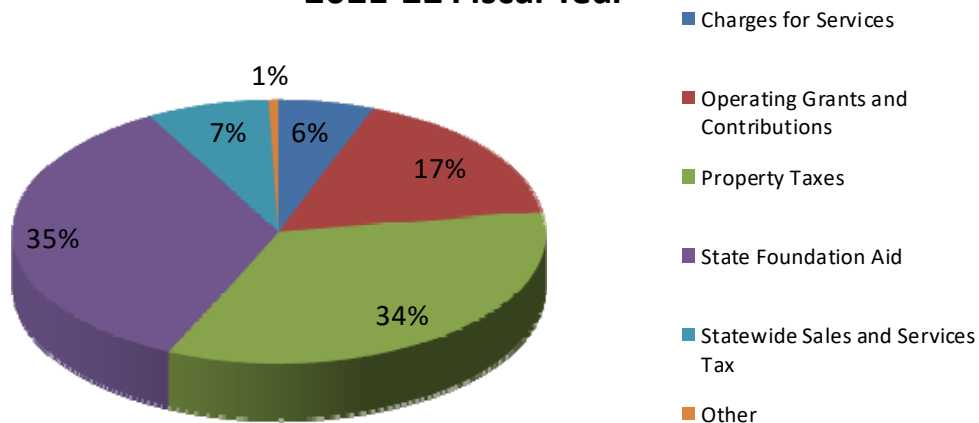
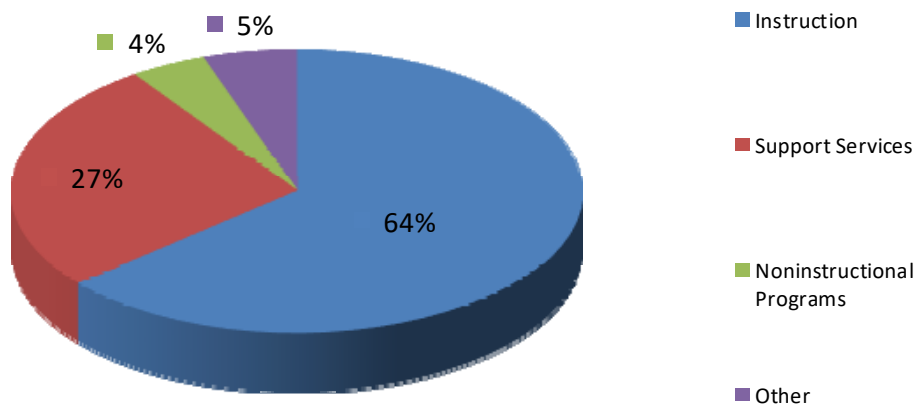


Figure A-6 - Expenses for 2021-22 Fiscal Year



Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Governmental Activities

Revenue for the District's governmental activities in 2021-22 increased by \$3,300,334 (4.7%) from the previous year, while total expenses in governmental activities decreased by \$525,877 (0.8%). Governmental activities net position as of June 30, 2022 increased by \$9,290,888 (15.7%) over the June 30, 2021 balance.

Figure A-7 presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2022 compared to the year ended June 30, 2021.

Figure A-7 Net Cost of Governmental Activities

	Total Cost of Services		Percentage	Net Cost of Services		Percentage
	2022	2021	Change	2022	2021	Change
Instruction	\$ 42,928,035	\$ 43,782,255	-2.0%	\$ 32,258,677	\$ 32,476,485	-0.7%
Support services	17,823,526	17,482,480	2.0%	17,742,912	17,417,198	1.9%
Noninstructional	24,945	23,195	7.5%	24,945	23,195	7.5%
Other	3,575,615	3,590,068	-0.4%	1,089,304	1,214,348	-10.3%
Total	\$ 64,352,121	\$ 64,877,998	-0.8%	\$ 51,115,838	\$ 51,131,226	0.0%

For the year ended June 30, 2022:

- The cost financed by the users of the District's programs was \$3,284,770.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$9,411,513.
- The net cost of governmental activities was financed with \$26,622,225 in property taxes, \$27,262,472 of unrestricted state grants, \$5,854,401 in statewide sales and services tax revenue, and \$448,452 in investment and other earnings.

For the year ended June 30, 2021:

- The cost financed by the users of the District's programs was \$3,426,468.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$10,320,304.
- The net cost of governmental activities was financed with \$25,068,564 in property taxes, \$24,430,506 of unrestricted state grants, \$5,587,148 in statewide sales and services tax revenue, and \$1,290,509 in investment and other earnings.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Business-Type Activities

The District's business-type activities include the School Nutrition Fund and Student Construction Fund. Revenues of the District's business-type activities in 2021-22 were \$4,310,293; an increase of \$2,067,316 (92.2%) from 2020-21. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were \$2,877,616, an increase of \$913,348 (46.5%) from 2020-21.

Individual Fund Analysis

As previously noted, the Pleasant Valley Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$30,020,754, which reflects an increase of \$2,867,317 (10.6%) from last year's ending fund balances of \$27,153,437.

Governmental Fund Highlights

- The fund balance in the District's General Fund increased by \$605,343 (5.3%) from \$11,337,516 as of June 30, 2021 to \$11,942,859 as of June 30, 2022. The General Fund experienced an increase in property taxes.
- The fund balance in the Capital Projects Fund increased by \$2,172,916 (17.3%) from \$12,549,453 as of June 30, 2021 to \$14,722,369 as of June 30, 2022. Total expenditures were \$1,155,157 in 2021-22 compared to \$10,528,896 in 2020-21.

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund increased by \$1,125,367 (58%) during 2021-22 from the 2020-21 net position. Charges for services increased from \$428,604 in 2020-21 to \$743,024 in 2021-22 primarily due to loss of food services sales for the 2020-21 school year due to the pandemic funding for the nutrition program.
- The District's new fund, the Student Construction Fund received grant funding from local sources to build an aircraft. The assets held for sale totaled \$88,134 as of June 30, 2022.
- The net position of the Internal Service Fund decreased by \$103,325 (2.5%) during 2021-22.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Budgetary Highlights

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service funds and custodial funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes. Over the course of the year, the District amended its certified budget one time.

Pleasant Valley Community School District's normal practice is to amend the certified budget one time during each fiscal year. Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. The District's practice is to amend the budget each year prior to expenses going over budget in any of the functional areas. The District's practice is also to amend the budget to reflect the entire fund balances in each of the various budgeted funds being spent down to a zero balance at the end of the fiscal year. This is the most significant reason for the amended budget showing \$30,099,186 more in expenditures than the original certified budget for the 2021-22 fiscal year.

The other main reasons for the differences between the original budget and the amended budget are:

- The budget is amended to reflect additional allowed expenditures due to receipt of other miscellaneous income during the year that was not possible to predict when the certified budget was adopted.

Capital Asset and Debt Administration

Capital Assets

By the end of the 2021-22 fiscal year, the District had invested \$96,378,282 (net of accumulated depreciation of \$57,030,638) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. (See Figure A-8). This amount represents a net decrease of \$2,892,047 or 2.9% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$4,251,454.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

Figure A-8 Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Restated				Restated		
	2022	2021	2022	2021	2022	2021	2021-22
Land	\$ 1,360,555	\$ 1,360,555	\$ -	\$ -	\$ 1,360,555	\$ 1,360,555	0.0%
Buildings	87,538,593	72,106,798	-	-	87,538,593	72,106,798	21.4%
Improvements other than buildings	4,660,612	5,077,636	-	-	4,660,612	5,077,636	-8.2%
Furniture and equipment	1,594,410	1,330,829	669,179	740,141	2,263,589	2,070,970	9.3%
Construction in progress	391,655	18,425,817	-	-	391,655	18,425,817	-97.9%
Right to use leased equipment	163,278	228,553	-	-	163,278	228,553	-28.6%
Total	\$ 95,709,103	\$ 98,530,188	\$ 669,179	\$ 740,141	\$ 96,378,282	\$ 99,270,329	-2.9%

Long-Term Liabilities

As of June 30, 2022, the District had \$26,515,000 in revenue bonds outstanding, \$12,540,081 in general obligation bonds outstanding, \$213,703 in lease obligations, \$521,358 in early retirement liabilities, \$976,715 in total compensated absence liabilities, \$4,720,956 in net OPEB liability, and \$571,765 in net pension liability for total outstanding long-term obligations of \$46,059,587 as reflected in Figure A-9 below. More detailed information about the District's long-term liabilities is available in Note 5 to the financial statements.

Figure A-9 Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Restated				Restated		
	2022	2021	2022	2021	2022	2021	2021-22
Revenue bonds	\$ 26,515,000	\$ 29,970,000	\$ -	\$ -	\$ 26,515,000	\$ 29,970,000	-11.5%
GO bonds	12,540,081	14,424,261	-	-	12,540,081	14,424,261	-13.1%
Note payable	-	89,402	-	-	-	89,402	-100.0%
Lease obligation	213,703	280,562	-	-	213,703	280,562	-23.8%
Early retirement	521,358	456,089	-	-	521,358	456,089	14.3%
Compensated absences	976,715	1,080,179	-	-	976,715	1,080,179	-9.6%
Net OPEB liability	4,532,126	5,090,484	188,839	212,104	4,720,965	5,302,588	-11.0%
Net pension liability	523,341	27,620,132	48,424	561,976	571,765	28,182,108	-98.0%
Total	\$ 45,822,324	\$ 79,011,109	\$ 237,263	\$ 774,080	\$ 46,059,587	\$ 79,785,189	-42.3%

Payments of early retirement benefits come out of the District's Management Fund. Payments of compensated absences and lease obligations are primarily made from the District's General Fund.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2022

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District continues to experience significant growth. The average annual growth in certified enrollment in the past ten years (2012-13 to 2021-22) has been 146.4 students per year. The District's certified enrollment has increased by 1,463.7 students (37.0%) during those ten years. The District's certified enrollment was up 179.4 students on the certified enrollment taken during the 2021-22 fiscal year. An enrollment forecast completed by Iowa School Finance Information Services in November, 2022 projects an average annual increase in the District's certified enrollment of 148.9 students per year over the next twenty years. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 5.6%. In the 2021-22 fiscal year (taxable valuations as of January 1, 2020), the increase was 6.2%. The continuing growth has made it necessary for the District to complete several building addition and renovation projects over the past several years and as of the end of the 2021-22 fiscal year, construction was substantially complete on the District's sixth elementary school (Forest Grove Elementary School, which opened in the 2021-22 school year). Additional borrowing of funds for more building additions and renovations, possible land purchases for future school sites, etc. may become necessary over the next few years as the District works to keep up with the student growth. While this growth has a positive impact, it also brings with it significant challenges in maintaining the District's infrastructure to accommodate this growth in an orderly and efficient manner.
- The Iowa Legislature set the supplemental state aid (S.S.A.) percentage at 2.40% for the 2021-22 fiscal year and 2.30% for the 2021-22 fiscal year. Supplemental state aid has only averaged 1.77% over the past five years. As the District's General Fund budget is comprised of approximately 75-80% salary and benefits, wage and salary adjustments arrived at through the District's formal negotiations process will have a significant impact on future budget spending decisions.
- A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Salaries and benefits expenditures are expected to increase as a result of the current labor market.
- Global supply chain disruptions and significant increases in inflation have driven the prices of goods and services past projected budget allocations.
- American Recovery Funding resources received as a result of the pandemic will be fully expended in the 2022-23 fiscal year. The impact of the loss of this funding along with other impacts of COVID-19 on the District's financial health is not fully known.
- In the spring of 2022, the Iowa Legislature passed a significant change to student open enrollment laws. The change addressed the long-standing condition of the law that districts could manage the numbers of students leaving a home district to attend a neighboring district, which was accomplished through application timelines and home district approval conditions. The 2022 law adjustment eliminated application timelines and the need for rationale to qualify. As a result, there has been an immediate increase of open enrollment requests and the full impact of this change will take several years to fully realize.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Mike Clingingsmith, Chief Financial Officer, Pleasant Valley Community School District, 525 Belmont Rd., Bettendorf, Iowa 52722.

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Basic Financial Statements

Pleasant Valley Community School District

Statement of Net Position

June 30, 2022

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	\$ 40,142,580	\$ 3,073,031	\$ 43,215,611
Receivables:			
Property tax:			
Current year	79,287	-	79,287
Succeeding year	24,570,000	-	24,570,000
Accounts	871,930	164	872,094
Due from other governments	3,194,739	-	3,194,739
Inventories	-	30,049	30,049
Assets held for sale	-	88,134	88,134
Prepaid expenses	522,947	-	522,947
Capital assets:			
Nondepreciable	1,752,210	-	1,752,210
Depreciable, net	93,956,893	669,179	94,626,072
Total assets	165,090,586	3,860,557	168,951,143
Deferred Outflows of Resources:			
Pension related deferred outflows	4,695,693	96,576	4,792,269
OPEB related deferred outflows	1,765,726	73,571	1,839,297
Total deferred outflows of resources	6,461,419	170,147	6,631,566

	Governmental	Business-Type	
	Activities	Activities	Total
Liabilities			
Accounts payable	2,224,170	2,079	2,226,249
Salaries and benefits payable	6,025,946	-	6,025,946
Due to other governments	2,023,078	-	2,023,078
Claims incurred but not reported	169,524	-	169,524
Accrued interest	30,688	-	30,688
Unearned revenue	101,618	183,622	285,240
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	3,525,000	-	3,525,000
General obligation bonds	1,939,180	-	1,939,180
Early retirement	324,821	-	324,821
Equipment lease	98,087	-	98,087
Compensated absences	726,787	-	726,787
Portion due after one year:			
Revenue bonds	22,990,000	-	22,990,000
General obligation bonds	10,600,901	-	10,600,901
Compensated absences	249,928	-	249,928
Early retirement	196,537	-	196,537
Equipment lease	115,616	-	115,616
Net OPEB liability	4,532,126	188,839	4,720,965
Net pension liability	523,341	48,424	571,765
Total liabilities	56,397,348	422,964	56,820,312
Deferred Inflows of Resources:			
Deferred revenue from succeeding year property tax	24,570,000	-	24,570,000
Pension related deferred inflows	20,756,498	396,302	21,152,800
OPEB related deferred inflows	1,355,086	56,461	1,411,547
Total deferred inflows of resources	46,681,584	452,763	47,134,347
Net Position			
Net investment in capital assets	64,294,575	669,179	64,963,754
Restricted for:			
Categorical funding	1,105,162	-	1,105,162
Management levy	2,254,513	-	2,254,513
Physical plant and equipment levy	1,112,002	-	1,112,002
School infrastructure	6,048,833	-	6,048,833
Other special revenue purposes	794,541	-	794,541
Debt service	302,213	-	302,213
Other	-	7,716	7,716
Unrestricted	(7,438,766)	2,478,082	(4,960,684)
Total net position	\$ 68,473,073	\$ 3,154,977	\$ 71,628,050

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Activities
Year Ended June 30, 2022

Functions/Programs	Expenses
Governmental activities:	
Instruction:	
Regular instruction	\$ 31,061,506
Special instruction	6,209,079
Other	5,657,450
	<u>42,928,035</u>
Support services:	
Student services	2,348,172
Instructional staff services	4,035,298
Administration services	5,750,866
Operation and maintenance of plant services	3,651,439
Transportation services	2,037,751
	<u>17,823,526</u>
Noninstructional programs	<u>24,945</u>
Other:	
Long term debt interest	1,089,304
AEA flowthrough	2,486,311
	<u>3,575,615</u>
Total governmental activities	<u>64,352,121</u>
Business-type activities:	
Noninstructional programs:	
Student construction	-
Food service operations	2,877,616
Total business-type activities	<u>2,877,616</u>
Total	<u><u>\$ 67,229,737</u></u>
General revenues:	
Property tax levied for:	
General purposes	
Capital outlay	
Other specific purposes	
Statewide sales and services tax	
Unrestricted state grants	
Unrestricted investment earnings	
Other	
Total general revenues	
Transfers	
Total general revenues and transfers	
Change in net position	
Net position, beginning of year, as restated	
Net position, end of year	

See Notes to Basic Financial Statements.

Program Revenues			Net (Expense) Revenue and Changes in Net Position		
Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
\$ 2,722,717	\$ 4,639,087	\$ -	\$ (23,699,702)	\$ -	\$ (23,699,702)
7,560	2,240,429	-	(3,961,090)	-	(3,961,090)
1,059,330	235	-	(4,597,885)	-	(4,597,885)
3,789,607	6,879,751	-	(32,258,677)	-	(32,258,677)
-	-	-	(2,348,172)	-	(2,348,172)
-	-	-	(4,035,298)	-	(4,035,298)
-	-	-	(5,750,866)	-	(5,750,866)
35,163	-	-	(3,616,276)	-	(3,616,276)
-	45,451	-	(1,992,300)	-	(1,992,300)
35,163	45,451	-	(17,742,912)	-	(17,742,912)
-	-	-	(24,945)	-	(24,945)
-	-	-	(1,089,304)	-	(1,089,304)
-	2,486,311	-	-	-	-
-	2,486,311	-	(1,089,304)	-	(1,089,304)
3,824,770	9,411,513	-	(51,115,838)	-	(51,115,838)
-	88,134	-	-	88,134	88,134
743,024	3,468,188	-	-	1,333,596	1,333,596
743,024	3,556,322	-	-	1,421,730	1,421,730
\$ 4,567,794	\$ 12,967,835	\$ -	(51,115,838)	1,421,730	(49,694,108)
			22,390,453	-	22,390,453
			3,422,653	-	3,422,653
			809,119	-	809,119
			5,854,401	-	5,854,401
			27,262,472	-	27,262,472
			163,251	10,947	174,198
			285,201	-	285,201
			60,187,550	10,947	60,198,497
			219,176	(219,176)	-
			60,406,726	(208,229)	60,198,497
			9,290,888	1,213,501	10,504,389
			59,182,185	1,941,476	61,123,661
			\$ 68,473,073	\$ 3,154,977	\$ 71,628,050

Pleasant Valley Community School District

**Balance Sheet
Governmental Funds
June 30, 2022**

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 17,529,533	\$ 15,417,076	\$ 3,429,959	\$ 36,376,568
Receivables:				
Property tax:				
Current year	67,081	9,761	2,445	79,287
Succeeding year	19,400,000	3,240,000	1,930,000	24,570,000
Accounts	42,231	-	1,350	43,581
Due from other governments	2,458,678	736,061	-	3,194,739
Prepaid items	518,688	-	4,259	522,947
Total assets	\$ 40,016,211	\$ 19,402,898	\$ 5,368,013	\$ 64,787,122
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 541,307	\$ 1,147,807	\$ 63,890	\$ 1,753,004
Salaries and benefits payable	6,025,946	-	-	6,025,946
Due to other governments	2,023,078	-	-	2,023,078
Unearned revenue	83,021	-	18,597	101,618
Total liabilities	8,673,352	1,147,807	82,487	9,903,646
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	19,400,000	3,240,000	1,930,000	24,570,000
Statewide sales and services tax	-	292,722	-	292,722
Total deferred inflows of resources	19,400,000	3,532,722	1,930,000	24,862,722
Fund balances:				
Nonspendable	518,688	-	4,259	522,947
Restricted for:				
Categorical funding	1,105,162	-	-	1,105,162
Management levy	-	-	2,254,513	2,254,513
Physical plant and equipment levy	-	1,112,002	-	1,112,002
School infrastructure	-	13,610,367	-	13,610,367
Student activity purposes	-	-	794,541	794,541
Debt service	-	-	302,213	302,213
Assigned primarily for transportation	3,161,450	-	-	3,161,450
Unassigned	7,157,559	-	-	7,157,559
Total fund balances	11,942,859	14,722,369	3,355,526	30,020,754
Total liabilities, deferred inflows of resources, and fund balances	\$ 40,016,211	\$ 19,402,898	\$ 5,368,013	\$ 64,787,122

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2022

Total fund balances of governmental funds	\$ 30,020,754
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Amounts reported for governmental activities in the Statement of Net Position
are different because:

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	95,709,103
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Other long-term assets are not available to pay for current period expenditures and, therefore, are unavailable in the funds.	292,722
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The Internal Service Fund is used to charge costs of the District's self-funded insurance plan to the governmental funds. The net position of the Internal Service Fund is therefore included under governmental activities.	3,953,671
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Pension and OPEB related deferred outflows of resources and deferred inflows of resources
are not due and payable in the current year and, therefore, are not reported in the
governmental funds, as follows:

Deferred outflows of resources related to pension	4,695,693
Deferred inflows of resources related to pension	(20,756,498)
Deferred inflows of resources related to OPEB	(1,355,086)
Deferred outflows of resources related to OPEB	1,765,726

Long-term liabilities, including bonds payable and compensated absences, are not
due and payable in the current period and, therefore, are not reported as liabilities
in the governmental funds.

Revenue bonds	(26,515,000)
General obligation bonds	(12,275,000)
Premium on issuance of general obligation bonds	(265,081)
Accrued interest	(30,688)
Leased equipment	(213,703)
Early retirement	(521,358)
Compensated absences	(976,715)
Net OPEB liability	(4,532,126)
Net pension liability	(523,341)

Net position of governmental activities	\$ 68,473,073
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See Notes to Basic Financial Statements.

Pleasant Valley Community School District

**Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2022**

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Local tax	\$ 22,390,453	\$ 3,422,653	\$ 809,119	\$ 26,622,225
Tuition	2,282,117	-	-	2,282,117
Other	686,830	71,938	1,081,240	1,840,008
State sources	34,480,259	6,339,046	9,121	40,828,426
Federal sources	2,268,429	16,171	-	2,284,600
Total revenues	62,108,088	9,849,808	1,899,480	73,857,376
Expenditures:				
Current:				
Instruction	40,958,704	-	1,327,470	42,286,174
Support services:				
Student services	2,515,730	-	30,592	2,546,322
Instructional staff services	4,418,198	-	29,304	4,447,502
Administration services	5,581,390	68,866	65,533	5,715,789
Operation and maintenance of plant services	3,621,418	66,163	348,651	4,036,232
Transportation services	2,038,763	-	5,074	2,043,837
	18,175,499	135,029	479,154	18,789,682
Noninstructional programs	298	-	24,647	24,945
Other expenditures:				
Facilities acquisition	27,104	1,018,028	-	1,045,132
AEA flowthrough	2,486,311	-	-	2,486,311
	2,513,415	1,018,028	-	3,531,443
Debt service:				
Principal	93,963	-	5,384,402	5,478,365
Interest	-	2,100	1,135,984	1,138,084
	93,963	2,100	6,520,386	6,616,449
Total expenditures	61,741,879	1,155,157	8,351,657	71,248,693
Excess (deficiency) of revenues over (under) expenditures	366,209	8,694,651	(6,452,177)	2,608,683
Other financing sources (uses):				
Interfund transfers in	219,176	-	6,541,235	6,760,411
Interfund transfers (out)	(19,500)	(6,521,735)	-	(6,541,235)
Issuance of lease obligations	27,104	-	-	27,104
Proceeds from sale of capital assets	12,354	-	-	12,354
Total other financing sources (uses)	239,134	(6,521,735)	6,541,235	258,634
Net change in fund balance	605,343	2,172,916	89,058	2,867,317
Fund balances, beginning of year	11,337,516	12,549,453	3,266,468	27,153,437
Fund balances, end of year	\$ 11,942,859	\$ 14,722,369	\$ 3,355,526	\$ 30,020,754

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

**Reconciliation of the Statement of Revenues, Expenditures and Changes in
Fund Balances of Governmental Funds to the Statement of Activities
Year Ended June 30, 2022**

Net change in fund balances - total governmental funds \$ 2,867,317

Amounts reported for governmental activities in the Statement of
Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:

Capital outlay	\$ 1,326,342	
Depreciation expense	(4,133,862)	(2,807,520)

Proceeds from the sale of capital assets	(12,354)	
Loss on disposal of capital assets	(1,211)	(13,565)

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues. (443,914)

The decrease in net position of the Internal Service Fund represents an undercharge to the governmental funds and is incorporated into the change in net position of governmental activities. (103,325)

Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position

Repayment of revenue bond and general obligation bond principal	5,295,000	
Repayment of note payable	89,402	
Amortization of premium	44,180	
Issuance of lease obligations	(27,104)	
Payment of leased obligations	93,963	
Interest expense	4,600	
Pension expense	4,914,058	
Early retirement	(65,269)	
Compensated absences	103,464	
Net OPEB liability	(660,399)	9,791,895

Change in net position of governmental activities	\$ 9,290,888
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See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Net Position

Proprietary Funds

June 30, 2022

	Nonmajor Enterprise Funds	Internal Service Fund
Assets		
Current:		
Cash and cash equivalents	\$ 3,073,031	\$ 3,766,012
Accounts receivable	164	828,349
Inventories	30,049	-
Assets held for sale	88,134	-
Total current assets	3,191,378	4,594,361
Noncurrent:		
Capital assets, net of accumulated depreciation	669,179	-
Total assets	3,860,557	4,594,361
Deferred Outflows of Resources:		
Pension related deferred outflows	96,576	-
OPEB related deferred outflows	73,571	-
Total deferred outflows of resources	170,147	-
Liabilities		
Current:		
Accounts payable	2,079	471,166
Claims incurred but not reported	-	169,524
Unearned revenue, other	183,622	-
Total current liabilities	185,701	640,690
Noncurrent:		
Net OPEB liability	188,839	-
Net pension liability	48,424	-
Total liabilities	422,964	640,690
Deferred Inflows of Resources:		
Pension related deferred inflows	396,302	-
OPEB related deferred inflows	56,461	-
Total deferred inflows of resources	452,763	-
Net Position		
Net investment in capital assets	669,179	-
Restricted, for food service	7,716	-
Unrestricted	2,478,082	3,953,671
Total net position	\$ 3,154,977	\$ 3,953,671

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2022

	Nonmajor Enterprise Funds	Internal Service Fund
Operating revenues:		
Local sources, charges for services	\$ 743,024	\$ 6,364,196
Operating expenses:		
Support services:		
Employee benefits	-	31,943
Purchased services	-	6,430,658
Other	-	15,291
	-	6,477,892
Noninstructional programs:		
Salaries	738,402	-
Benefits	132,461	-
Purchased services	42,872	-
Supplies	1,846,141	-
Depreciation	117,592	-
Miscellaneous	148	-
	2,877,616	-
Total operating expenses	2,877,616	6,477,892
Operating (loss)	(2,134,592)	(113,696)
Nonoperating revenues:		
Interest on investments	10,947	10,371
Local sources	88,134	-
State sources	19,271	-
Federal sources	3,448,917	-
Total nonoperating revenues	3,567,269	10,371
Income (loss) before transfers	1,432,677	(103,325)
Transfers out	(219,176)	-
Change in net position	1,213,501	(103,325)
Net position, beginning of year	1,941,476	4,056,996
Net position, end of year	\$ 3,154,977	\$ 3,953,671

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2022

	Nonmajor Enterprise Funds	Internal Service Fund
Cash flows from operating activities:		
Cash received from sale of lunches and breakfasts	\$ 731,840	\$ -
Cash received from miscellaneous operating activities	-	6,293,604
Cash payments to employees for services	(936,481)	(31,943)
Cash payments to suppliers for goods or services	(1,725,881)	(5,944,407)
Net cash provided by (used in) operating activities	(1,930,522)	317,254
Cash flows from noncapital financing activities:		
Transfers to other funds	(219,176)	-
Local grants received	88,134	
State grants received	19,271	-
Federal grants received	3,209,607	-
Net cash provided by noncapital financing activities	3,097,836	-
Cash flows (used in) capital related financing activities,		
Acquisition of capital assets	(46,630)	-
Cash flows from investing activities, interest on investments	10,947	10,371
Net increase in cash and cash equivalents	1,131,631	327,625
Cash and cash equivalents, beginning of year	1,941,400	3,438,387
Cash and cash equivalents, end of year	\$ 3,073,031	\$ 3,766,012
Reconciliation of operating (loss) to net cash provided by (used in)		
operating activities:		
Operating (loss)	\$ (2,134,592)	\$ (113,696)
Adjustments to reconcile operating (loss) to net cash		
provided by (used in) operating activities:		
Depreciation	117,592	-
Commodities used	239,310	-
(Increase) decrease in accounts receivable	3,805	(70,592)
Decrease in inventories	356	-
Decrease in prepaid expenses	10,596	-
(Increase) in assets held for resale	(88,134)	
Increase in accounts payable	1,152	469,599
Increase in net OPEB liability and related deferrals	27,516	-
(Decrease) in pension and related deferrals	(93,134)	-
Increase in claims incurred but not reported	-	31,943
(Decrease) in unearned revenue	(14,989)	-
Net cash provided by (used in) operating activities	\$ (1,930,522)	\$ 317,254
Schedule of noncash items:		
Noncapital financing activities, federal commodities	\$ 239,310	\$ -

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Fiduciary Net Position

Fiduciary Fund

June 30, 2022

	<u>Custodial</u>
Assets	
Cash and pooled investments	<u>\$ 23,029</u>
Liabilities	
Accounts payable	<u>\$ 535</u>
Net position	<u><u>\$ 22,494</u></u>

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Fund

Year Ended June 30, 2022

	<u>Custodial</u>
Additions	
Contributions	<u>\$ 83,282</u>
Total additions	<u>83,282</u>
Deductions	
Administrative expenses	<u>81,267</u>
Total deductions	<u>81,267</u>
Change in net position	2,015
Net position, beginning of the year	<u>20,479</u>
Net position, end of the year	<u><u>\$ 22,494</u></u>

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies

Pleasant Valley Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve. The District also operates a preschool program. The geographic area served includes the Township of Pleasant Valley, Iowa, the City of LeClaire, Iowa, portions of the City of Bettendorf, Iowa and portions of the agricultural territory of Scott County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Pleasant Valley Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Pleasant Valley Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Scott County Assessor's Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, general long- term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two types of proprietary funds, enterprise funds and an internal service fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability. The District's nonmajor enterprise fund are as follows:

The Nutrition Fund which accounts for the food service operations of the District.

The Student Construction Fund accounts for grant funding to build an aircraft with neighboring districts. The aircraft will be built and held for a year under FAA guidelines and then sold with the proceeds from the sale of the aircraft used to build the next aircraft.

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Custodial Fund is used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds for District employee purchases of pop, funeral flowers, and related expenditures and expenditures for various club accounts.

Measurement focus and basis of accounting:

The District-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for short-term nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied. The property tax revenue recognized in these funds was due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2020 assessed property valuations; is for the tax accrual period July 1, 2021 through June 30, 2022 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2021.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid items: The District accounts for the prepaid items by using the purchases method.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Right-to-use leased assets are initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs to place the assets in service. Subsequently, the leased assets are amortized on a straight-line basis over the shorter of the life of the lease or estimated useful life of the asset.

Asset Class	Amount
Land	\$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles	100,000
Furniture and equipment:	
School Nutrition Fund equipment	300
Other furniture and equipment	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	20 - 40 years
Improvements other than buildings	15 - 40 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned revenue: Unearned revenue consists primarily of school registration fees, activity fees and meal revenues collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation and sick leave for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the District-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2022. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund and by the Special Revenue Fund, Management Levy.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the governmental activities of the government-wide financial statements. The District recognizes lease liabilities with an initial, individual net present value of \$5,000 or more.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Pensions — For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts in the assigned fund balance classification are intended to be used by the District for specific purposes but do not meet the criteria to be classified as committed. The authority to assign fund balances has been delegated to the Chief Financial Officer by the Board of Education. The District has assigned \$3,161,450 primarily for transportation. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for the removal of an assignment.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications –assigned and then unassigned fund balances.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period and OPEB related deferred outflows.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District's deferred inflows of resources consist of deferred revenue, unrecognized items not yet charged to pension expense and other postemployment benefits.

The District reports unavailable revenue in the governmental funds balance sheet from the statewide sales and services tax, grants and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenue remains as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. The District also reports pension and OPEB related deferred outflows in the government-wide statements and the proprietary fund statements.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. As of June 30, 2022, the District had \$7,854,256 of unspent bond proceeds. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2022 consists of \$1,105,162 for categorical funding, \$2,254,513 for management levy purposes, \$1,112,002 for physical plant and equipment levy, \$6,048,833 for school infrastructure, \$794,541 for student activity purposes, \$302,213 for debt service and \$7,716 for food service.

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursement known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2022, expenditures did not exceed the amounts budgeted.

Note 2. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

The District's cash and pooled investment consisted of depository accounts at financial institutions including short-term nonnegotiable certificate of deposits.

Custodial credit risk: The District's deposits in banks as of June 30, 2022 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The District does not have a separate custodial credit risk policy from state statutes.

Credit risk: The District does not have a separate credit risk or interest rate risk policy from state statutes. The District does not have any investments as of June 30, 2022.

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2022 is as follows:

Transfer To	Transfer From	Amount
General	Nonmajor enterprise fund, Nutrition	\$ 219,176
Nonmajor governmental fund,		
Debt Service	Capital Projects	6,521,735
Student Activity	General	19,500
		<u>\$ 6,760,411</u>

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the Debt Service Fund are to make principal and interest payments on the District's revenue bonds.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2022 is as follows:

	Restated Balance End of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 1,360,555	\$ -	\$ -	\$ 1,360,555
Construction in progress	18,425,817	407,473	18,441,635	391,655
Total capital assets not being depreciated	19,786,372	407,473	18,441,635	1,752,210
Capital assets being depreciated:				
Buildings	110,829,072	18,680,287	-	129,509,359
Improvements other than buildings	10,150,095	96,915	9,405	10,237,605
Furniture and equipment	9,112,930	556,198	106,059	9,563,069
Right to use, leased equipment	444,736	27,104	-	471,840
Total capital assets being depreciated	130,536,833	19,360,504	115,464	149,781,873
Less accumulated depreciation and amortization for:				
Buildings	38,722,274	3,248,492	-	41,970,766
Improvements other than buildings	5,072,459	513,939	9,405	5,576,993
Furniture and equipment	7,782,101	279,052	92,494	7,968,659
Right to use, leased equipment	216,183	92,379	-	308,562
Total accumulated depreciation and amortization	51,793,017	4,133,862	101,899	55,824,980
Total capital assets being depreciated, net	78,743,816	15,226,642	13,565	93,956,893
Governmental activities capital assets, net	\$ 98,530,188	\$ 15,634,115	\$ 18,455,200	\$ 95,709,103
Business-type activities:				
Furniture and equipment	\$ 1,828,207	\$ 46,630	\$ -	\$ 1,874,837
Less accumulated depreciation	1,088,066	117,592	-	1,205,658
Business-type activities capital assets, net	\$ 740,141	\$ (70,962)	\$ -	\$ 669,179

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets (Continued)

Depreciation and amortization expense was charged by the District to the following functions:

Governmental activities:	
Instruction	\$ 3,864,599
Support services:	
Administration	156,281
Operation and maintenance of plant services	112,982
Total governmental activities depreciation and amortization expense	\$ 4,133,862
Business-type activities, food service operations	\$ 117,592

Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2022 is as follows:

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds, Series 2015	\$ 1,745,000	\$ -	\$ 1,745,000	\$ -	\$ -
Revenue bonds, Series 2016	6,410,000	-	945,000	5,465,000	735,000
Revenue bonds, Series 2017	8,600,000	-	350,000	8,250,000	1,100,000
Revenue bonds, Series 2018	13,215,000	-	415,000	12,800,000	1,690,000
Private Placement, GO bonds, Series 2018	14,115,000	-	1,840,000	12,275,000	1,895,000
Premium on GO bonds	309,261	-	44,180	265,081	44,180
Note payable	89,402	-	89,402	-	-
Lease obligations	280,562	27,104	93,963	213,703	98,087
Early retirement	456,089	393,074	327,805	521,358	324,821
Compensated absences	1,080,179	976,858	1,080,322	976,715	726,787
Net OPEB liability	5,090,484	-	558,358	4,532,126	-
Net pension liability	27,620,132	-	27,096,791	523,341	-
Total	\$ 79,011,109	\$ 1,397,036	\$ 34,585,821	\$ 45,822,324	\$ 6,613,875
Business-type activities:					
Net OPEB liability	\$ 212,104	\$ -	\$ 23,265	\$ 188,839	\$ -
Net pension liability	561,976	-	513,552	48,424	-
Total	\$ 774,080	\$ -	\$ 536,817	\$ 237,263	\$ -

Compensated absences are generally liquidated by the General Fund. Net OPEB and net pension liabilities are generally liquidated by the General Fund and respective enterprise funds.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

General obligation bonds: In October 2018, the District issued \$17,640,000 General Obligation School Capital Loan Notes, Series 2018 for capital facility construction/building improvement purposes. The bonds provide for the serial retirement of principal payable annually on June 1 and interest due semiannually at 3% with maturity on June 1, 2028. The general obligation bonds will be paid through voter-approved physical plant and equipment property tax. Annual Debt Service requirements of the general obligation bonded indebtedness are as follows:

Year ending June 30:	Direct Borrowing and Direct Placement General Obligation School Capital Loan Notes, Series 2018		
	Principal	Interest	Total
2023	\$ 1,895,000	\$ 368,250	\$ 2,263,250
2024	1,955,000	311,400	2,266,400
2025	2,015,000	252,750	2,267,750
2026	2,075,000	192,300	2,267,300
2027	2,135,000	130,050	2,265,050
2028	2,200,000	66,000	2,266,000
Totals	\$ 12,275,000	\$ 1,320,750	\$ 13,595,750

Revenue bonds: In December 2015, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2015 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2017 through July 1, 2022. The bonds have an interest rate of 1.78 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. During the year ended June 30, 2022, \$1,745,000 principal was paid and \$30,467 of interest was paid on the bonds, paying the bond in full.

In October 2016, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2016 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.96 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the bonds as of June 30, 2022 is \$5,901,982. During the year ended June 30, 2022, \$945,000 principal was paid and \$125,636 of interest was paid on the bonds.

In October 2017, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2017 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.94 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2022 is \$8,904,847. During the year ended June 30, 2022, \$350,000 principal was paid and \$166,557 of interest was paid on the bonds.

In October 2018, the District issued \$14,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2018 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2020 through July 1, 2029. The bonds have an interest rate of 2.93 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2022 is \$14,338,252. During the year ended June 30, 2022, \$415,000 principal was paid and \$386,711 of interest was paid on the bonds.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

During the year ended June 30, 2022 the statewide sales, services, and use tax revenues were \$6,298,315 for the year ended June 30, 2022. The pledge of statewide sales, service and use tax revenues for this bond and parity bonds constitutes approximately 97% of annual statewide sales, service and use tax revenues of the District.

The resolutions providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2022, there was \$302,213 deposited in the sinking account in the Debt Service Fund.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2022, there was no amount deposited into a surplus account.

Annual debt service requirements on outstanding revenue bond indebtedness as of June 30, 2022, are as follows:

Year ending June 30:	Revenue Bonds, Series 2016		
	Principal	Interest	Total
2023	\$ 735,000	\$ 107,114	\$ 842,114
2024	750,000	92,708	842,708
2025	765,000	78,008	843,008
2026	780,000	63,014	843,014
2027	795,000	47,726	842,726
2028	810,000	32,144	842,144
2029	830,000	16,268	846,268
Totals	\$ 5,465,000	\$ 436,982	\$ 5,901,982

Year ending June 30:	Revenue Bonds, Series 2017		
	Principal	Interest	Total
2023	\$ 1,100,000	\$ 160,050	\$ 1,260,050
2024	1,125,000	138,710	1,263,710
2025	1,150,000	116,885	1,266,885
2026	1,175,000	94,575	1,269,575
2027	1,205,000	71,780	1,276,780
2028	1,235,000	48,403	1,283,403
2029	1,260,000	24,444	1,284,444
Totals	\$ 8,250,000	\$ 654,847	\$ 8,904,847

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Year ending June 30:	Revenue Bonds, Series 2018		
	Principal	Interest	Total
2023	\$ 1,690,000	\$ 375,040	\$ 2,065,040
2024	1,735,000	325,524	2,060,524
2025	1,780,000	274,688	2,054,688
2026	1,830,000	222,534	2,052,534
2027	1,875,000	168,914	2,043,914
2028	1,925,000	113,978	2,038,978
2029	1,965,000	57,574	2,022,574
Totals	\$ 12,800,000	\$ 1,538,252	\$ 14,338,252

Computer Note Payable: The District entered into an agreement with Apple Computer, Inc. on April 21, 2018, for computers. Annual principal and interest payments are made from the Capital Projects Fund, Physical Plant and Equipment Levy account. In 2022, \$89,402 principal was paid and \$3,162 of interest. The computers do not meet the District's capitalization thresholds. The agreement matured during the June 30, 2022 fiscal year.

Leases: The District has entered into various lease agreements for printer and copier equipment. As of June 30, 2022, the value of the lease liability was \$213,713. Under the terms of the agreements, the District is required to make monthly principal and interest payments totaling approximately \$8,665. The lease agreements have an interest rate of 3.5 percent with final maturity of all the agreements on June 30, 2025. The value of the right-to-use assets as of the end of the current fiscal year was \$471,840 and had accumulated amortization of \$308,562. The future principal and interest lease payments as of June 30, 2022, were as follows:

Year ending June 30:			
	Principal	Interest	Total
2023	\$ 98,087	\$ 5,897	\$ 103,984
2024	78,524	2,631	81,155
2025	37,092	707	37,799
Total	\$ 213,703	\$ 9,235	\$ 222,938

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

As of June 30, 2022, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	\$ 3,426,217,440
Debt limit, 5% of total assessed valuation	\$ 171,310,872
Amount of debt applicable to debt limit:	
Bonded indebtedness	39,055,081
Lease obligations	213,703
Total indebtedness	<u>39,268,784</u>
Legal debt margin	<u>\$ 132,042,088</u>

Early retirement: The District offered a voluntary early retirement plan to its certified, administrative and classified employees. Eligible employees must be at least age 55 and employees must have completed 15 years of service to the District. Employees must complete an application which is required to be approved by the Board of Education.

For administrative and certified personnel, the early retirement incentive for each eligible employee is equal to 50 percent of the employee's base salary calculated by using the current year regular salary schedule. For classified personnel, the early retirement incentive for each eligible employee is the product of 50 percent of the number of unused sick leave days (limited to a maximum number of days in the employee's letter of assignment) times the employee's hourly wage rate on the last day of employment times the daily hours worked.

As of June 30, 2022, the District had obligations to 31 participants with a total liability of \$521,358. Actual early retirement expenditures for the year ended June 30, 2022 totaled \$327,805. Early retirement is recorded as a long-term liability of the Governmental Activities in the District-wide financial statements. Early retirement obligations are generally liquidated by the Management Fund.

Note 6. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Pleasant Valley Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Benefits provided: The Plan provides healthcare benefits including medical and prescription drug benefits for retirees and their dependents. Retiree health care coverage is available to pre-age 65 eligible retirees. All employees are required to contribute the full premium in order to continue coverage at retirement.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (Continued)

The full monthly premium rates as of July 1, 2021 for each plan are as shown below:

	Rate Tier	Traditional
Single		\$ 602
Spouse		784

Employees covered by benefit terms: At June 30, 2022, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	11
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	439
	<u>450</u>

Total OPEB Liability: The District's total OPEB liability of \$4,720,965 was measured as of June 30, 2022 and was determined by an actuarial valuation dated August 12, 2022.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified.

Inflation	2.50% per annum
Salary increases	4.00% per annum
Discount rate	4.09% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	5.50% reduced 0.50% per annum until reaching ultimate health care cost trend rate - 4.50%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the PubT.H-2010 Teacher Mortality with Mortality Improvement using Scale MP-2020. The actuarial assumptions used in the June 30, 2022 valuation were based on the results of an actuarial experience study for the period 2010– 2021.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (Continued)

Changes in the Total OPEB Liability

	Increase (Decrease)		
	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (a) - (b)
Balance at July 1, 2021	\$ 5,302,588	\$ -	\$ 5,302,588
Changes for the year:			
Service cost	528,196	-	528,196
Interest	115,152	-	115,152
Changes of benefit terms	-	-	-
Differences between expected and actual experience	(365,839)	-	(365,839)
Changes in assumptions or other inputs	(818,342)	-	(818,342)
Benefit payments	(40,790)	-	(40,790)
Net changes	(581,623)	-	(581,623)
Balance at June 30, 2022	\$ 4,720,965	\$ -	\$ 4,720,965

Changes of assumptions or other inputs reflect a change in the discount rate from 2.18% per annum in 2021 to 4.09% per annum in 2022.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease 3.09%	Discount Rate 4.09%	1% Increase 5.09%
Total OPEB liability	\$ 5,136,410	\$ 4,720,965	\$ 4,339,347

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	Healthcare Cost Trend Rates		
	1% Decrease 4.50%	5.50%	1% Increase 6.50%
Total OPEB liability	\$ 4,170,915	\$ 4,720,965	\$ 5,373,038

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (Continued)

For the year ended June 30, 2022, the District recognized OPEB expense of \$728,705. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 859,246	\$ 330,266
Changes of assumptions or other inputs	980,051	1,081,281
Net difference between projected and actual investments	-	-
Total	\$ 1,839,297	\$ 1,411,547

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:

2023	\$ 85,359
2024	85,359
2025	85,359
2026	85,359
2027	85,359
Thereafter	955
	\$ 427,750

Note 7. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50 percent for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2022, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2022 were \$3,381,411.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2022, the District reported a liability of \$571,765 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2021, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2021, the District's proportion was .165620 percent, which was a decrease of .235564 percent from its proportion measured as of June 30, 2020.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

For the year ended June 30, 2022, the District recognized pension expense of \$1,625,781. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 435,034	\$ 436,800
Changes of assumptions	373,983	-
Net difference between projected and actual earnings on pension plan investments	-	20,716,000
Changes in proportion and differences between District contributions and proportionate share of contributions	601,841	-
District contributions subsequent to the measurement date	3,381,411	-
Total	\$ 4,792,269	\$ 21,152,800

Deferred outflows of resources of \$3,381,411 related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2023. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2023	\$ (4,750,424)
2024	(4,894,944)
2025	(4,592,332)
2026	(5,558,314)
2027	54,072
Thereafter	-
Total	\$ (19,741,942)

There were no non-employer contributing entities to IPERS.

Actuarial Assumptions – The total pension liability in the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent per annum, compounded annually, net of pension plan, investment expense, including inflation
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The actuarial assumptions used in the June 30, 2021 valuation were based on the results of an economic assumption study dated March 24, 2017 and a demographic assumption study dated June 28, 2018. Mortality rates used in the 2021 valuation were based on the RP-2014 Employee and Healthy Annuitant Tables with MP-2017 generational adjustments.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0%	4.43%
International equity	17.5%	6.01%
Global smart beta equity	6.0%	5.10%
Core-plus fixed income	26.0%	0.29%
Public credit	4.0%	2.08%
Cash	1.0%	-0.25%
Private equity	13.0%	9.51%
Private real assets	7.5%	4.63%
Private credit	3.0%	2.87%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability (asset)	\$ 20,236,659	\$ 571,765	\$ (15,908,664)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2022, the District reported payables to the defined benefit pension plan of \$0 for legally required employer contributions and \$0 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

In April 2017, the District transitioned from the fully self-funded health insurance to a partially self-insured plan. The new plan provides for a high deductible plan. The District funds claims between the former deductible (\$1,500 family and \$750 single) and former maximum out of pocket (\$4,500 family and \$2,250 single) to the new deductible (\$10,000 family and \$5,000 single) and new maximum out of pocket (\$14,000 family and \$7,000 single).

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for incurred but unpaid claims. Changes in the claims liability amounts for the years ended June 30, 2022 and 2021 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claim Payments	Ending
2021	\$ 140,127	\$ 914,664	\$ 917,210	\$ 137,581
2022	137,581	1,162,105	1,130,162	169,524

Claims liability is classified as current as claims are typically paid within 2 ½ months of incurred date.

Pleasant Valley Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$2,486,311 for the year ended June 30, 2022 and is recorded in the General Fund.

Note 10. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2022 is comprised of the following programs:

Program	Amount
Home school assistance	\$ 100,936
ELP/TAG	194,220
Teacher leadership	482,018
4 year old preschool	30,700
Successful progression for early readers	55,456
Professional development	216,398
Other	25,434
Total	\$ 1,105,162

Note 11. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2022 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Diverted
City of LeClaire, Iowa	Urban renewal and economic development projects	\$ 395,039
City of Bettendorf, Iowa	Urban renewal and economic development projects	417,246

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2022, this reimbursement amounted to \$409,335.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 12. Commitments

The District entered into a transportation contract for busing equipment and services for the busing of all District students. The terms call for the leasing of buses for various routes. All services are provided by the lessor. The contract is for one year and can be cancelled by either party at the end of the one year term. For the year ended June 30, 2022, the contract payments for busing services and equipment totaled \$1,574,892.

The District has entered into a contract totaling \$1,433,308 for junior high renovations, parking lot upgrades, and roof improvements. As of June 30, 2022, costs of \$312,175 had been incurred against the contracts. The balance of \$1,121,133 remaining as of June 30, 2022 will be paid as work on the projects progress.

Note 13. Governmental Accounting Standards Board (GASB)

The District adopted the following statements during the year ended June 30, 2022:

GASB Statement No. 87, *Leases*. The objective of this Statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

The District restated governmental activities net position from \$59,234,194 to \$59,182,185 as a result of the new statement.

GASB Statement No. 89, *Accounting for Interest Cost before the End of a Construction Period*. This Statement establishes accounting requirements for interest cost incurred before the end of a construction period. Such interest cost includes all interest that was previously accounted for in accordance with the requirements of paragraphs 5-22 of Statement No. 62, which are superseded by this Statement. This Statement requires that interest cost incurred before the end of a construction period be recognized as an expense in the period in which the cost is incurred for financial statements prepared using the economic resources measurement focus. As a result, interest cost incurred before the end of a construction period will not be included in the historical cost of a capital asset reported in a business-type activity or an enterprise fund. This statement also reiterates that in financial statements prepared using the current financial resources measurement focus, interest cost incurred before the end of a construction period should be recognized as an expenditure on a basis consistent with governmental fund accounting principles.

GASB Statement No. 92, *Omnibus 2020*. The objectives of this Statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB Statements. This Statement addresses a variety of topics including leases, intra-entity transfers, assets accumulated for postemployment benefits, applicability of Statement No. 84 to postemployment benefit arrangements, measurement of liabilities related to asset retirement obligations in a government acquisition, reporting by public entity risk pools for amounts that are recoverable from reinsurers or excess insurers, nonrecurring fair value measurements of assets or liabilities, and terminology to refer to derivative instruments.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 13. Governmental Accounting Standards Board (GASB) (Continued)

GASB Statement No. 93, *Replacement of Interbank Offered Rates*. The objective of this Statement is to address those and other accounting and financial reporting implications that result from the replacement of an IBOR. This statement provides exceptions for certain hedging derivative instruments to the hedge accounting termination provisions when an IBOR is replaced as the reference rate of the hedging derivative instrument's variably payment, clarifies the hedge accounting termination provisions when a hedge item is amended to replace the reference rate, clarifies the uncertainty related to the continued availability of IBORS, removes LIBOR as an appropriate benchmark interest rate for qualitative evaluation, identifies a Secured Overnight Financing Rate and the Effective Federal Funds Rate as appropriate benchmark interest rates for the qualitative evaluation of the effectiveness of an interest rate swap, and clarifies the definition of reference rate, as it is used in Statement 53, as amended.

GASB Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans- an amendment of GASB Statements No. 14 and No. 84, and a supersession of GASB Statement No. 3*. The primary objective of this Statement are to 1) increase consistency and comparability related to the reporting of fiduciary component units in circumstances in which a potential component unit does not have a governing board and the primary government performs the duties that a governing board typically would perform; 2) mitigate costs associated with the reporting of certain defined contribution pension plans, defined contribution other postemployment benefit (OPEB) plans, and employee benefit plans other than pension plans or OPEB plans (other employee benefit plans) as fiduciary component units in fiduciary fund financial statements; and 3) enhance the relevance, consistency, and comparability of the accounting and financial reporting for Internal Revenue Code (IRC) Section 457 deferred compensation plans (Section 457 plans) that meet the definition of a pension plan and for benefits provided through those plans.

Other than the restatement for the implementation of GASB Statement No. 87, the implementation of the above statements did not have a material impact on the District's Financial Statements.

As of June 30, 2022, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 91, *Conduit Debt Obligations*, issued May 2019, will be effective for the District beginning with its fiscal year ending June 30, 2023. This Statement clarifies the existing definition of a conduit debt obligation; establishing that a conduit debt obligation is not a liability of the issuer; establishing standards for accounting and financial reporting of additional commitments and voluntary commitments extended by issuers and arrangements association with conduit debt obligations; and improving required note disclosures. This Statement requires issuers to disclose general information about their conduit debt obligations organized by type of commitment, including the aggregate outstanding principal amount of the issuers' conduit debt obligations and a description of each type of commitment. Issuers that recognize liabilities related to supporting the debt service of conduit debt obligations also should disclose information about the amount recognized and how the liabilities changed during the reporting period.

GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, issued March 2020, will be effective for the District beginning with its fiscal year ending June 30, 2023. The primary objective of this Statement is to improve financial reporting by addressing issues related to public-private and public-public partnership arrangements (PPPs). As used in this Statement, a PPP is an arrangement in which a government (the transferor) contracts with an operator (a governmental or nongovernmental entity) to provide public services by conveying control of the right to operate or use a nonfinancial asset, such as infrastructure or other capital asset (the underlying PPP asset), for a period of time in an exchange or exchange-like transaction. This Statement also provides guidance for accounting and financial reporting for availability payment arrangements (APAs). As defined in this Statement, an APA is an arrangement in which a government compensates an operator for

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 13. Governmental Accounting Standards Board (GASB) (Continued)

services that may include designing, constructing, financing, maintaining, or operating an underlying nonfinancial asset for a period of time in an exchange or exchange-like transaction.

GASB Statement No. 96, *Subscription-Based Information Technology Arrangements*, issued May 2020, will be effective for the District beginning with its fiscal year ending June 30, 2023. This Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users (governments). This Statement 1) defines a SBITA; 2) establishes that a SBITA results in a right-to-use subscription assets- an intangible asset- and a corresponding subscription liability; 3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and 4) requires note disclosures regarding a SBITA.

GASB Statement No. 99, *Omnibus 2022*, issued April 2022, will be effective for the District beginning with its fiscal year ending June 30, 2023. The objectives of this Statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing (1) practice issues that have been identified during implementation and application of certain GASB Statements and (2) accounting and financial reporting for financial guarantees.

GASB Statement No. 100, *Accounting Changes and Error Corrections- An Amendment of GASB Statement No. 62*, issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2024. The primary objective of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability.

GASB Statement No. 101, *Compensated Absences*, issued June 2022, will be effective for the District beginning with its fiscal year ending June 30, 2025. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 14. Restatement

Governmental Accounting Standards Board Statement No. 87, *Leases*, was implemented as of the beginning of the year ended June 30, 2022. The requirements of this statement apply to financial statements of all state and local governments and establishes standards of accounting and financial reporting for leases by lessees and lessors. Beginning net position for governmental activities was restated to retroactively recognize the beginning lease liability and the intangible right-to-use lease asset when the District is the lessee or if the District is the lessor, to recognize the lease receivable and deferred inflow of resources.

	Governmental Activities
Net position June 30, 2021, as previously reported	\$ 59,234,194
Lease asset	444,736
Lease accumulated amortization	(216,183)
Lease liability	(280,562)
Net position June 30, 2021, as restated	<u>\$ 59,182,185</u>

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Required Supplementary Information

Pleasant Valley Community School District

Required Supplementary Information

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2022**

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	\$ 30,744,350	\$ 842,105
State sources	40,828,426	19,271
Federal sources	2,284,600	3,448,917
Total revenues	73,857,376	4,310,293
Expenditures/expenses:		
Instruction	42,286,174	-
Support services	18,789,682	-
Noninstructional programs	24,945	2,877,616
Other expenditures	10,147,892	-
Total expenditures/expenses	71,248,693	2,877,616
Excess (deficiency) of revenues over (under) expenditures/expenses	2,608,683	1,432,677
Other financing sources (uses):		
Interfund transfers in	6,760,411	-
Interfund transfers out	(6,541,235)	(219,176)
Other	39,458	-
Total other financing sources (uses)	258,634	(219,176)
Net change in fund balance	2,867,317	1,213,501
Balance, beginning of year	27,153,437	1,941,476
Balance, end of year	\$ 30,020,754	\$ 3,154,977

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual
		Original	Final	Variance
\$	31,586,455	\$ 31,868,500	\$ 31,868,500	\$ (282,045)
	40,847,697	39,921,458	39,921,458	926,239
	5,733,517	1,469,973	1,469,973	4,263,544
	78,167,669	73,259,931	73,259,931	4,907,738
	42,286,174	42,156,611	51,996,972	9,710,798
	18,789,682	18,773,144	23,336,308	4,546,626
	2,902,561	2,268,971	4,529,164	1,626,603
	10,147,892	11,451,411	24,886,879	14,738,987
	74,126,309	74,650,137	104,749,323	30,623,014
	4,041,360	(1,390,206)	(31,489,392)	35,530,752
	6,760,411	8,694,534	8,694,534	(1,934,123)
	(6,760,411)	(8,694,534)	(8,694,534)	1,934,123
	39,458	-	-	39,458
	39,458	-	-	39,458
	4,080,818	\$ (1,390,206)	\$ (31,489,392)	\$ 35,570,210
	29,094,913			
\$	33,175,731			

Pleasant Valley Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Five Fiscal Years**

	<u>2022</u>
Total OPEB liability	
Changes for the year:	
Service cost	\$ 528,196
Interest	115,152
Changes of benefit terms	
Differences between expected and actual experience	(365,839)
Changes in assumptions or other inputs	(818,342)
Benefit payments	<u>(40,790)</u>
Net changes in total OPEB liability	(581,623)
Total OPEB liability - beginning	<u>5,302,588</u>
Total OPEB liability - ending	<u><u>\$ 4,720,965</u></u>
 Covered employee payroll	 \$ 32,384,338
 Total OPEB liability as a percentage of covered employee payroll	 14.6%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate. The following are the discount rates used in each period:

4.09%

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

See Notes to Required Supplementary Information.

2021	2020	2019	2018
\$ 419,695	\$ 358,497	\$ 200,905	\$ 193,420
122,329	85,188	90,870	84,561
	-	-	-
-	1,211,052	-	-
220,448	618,617	83,558	(59,537)
(117,404)	(99,536)	(77,578)	(48,099)
645,068	2,173,818	297,755	170,345
4,657,520	2,483,702	2,185,947	2,015,602
\$ 5,302,588	\$ 4,657,520	\$ 2,483,702	\$ 2,185,947
\$ 25,448,998	\$ 25,448,998	\$ 25,413,000	\$ 24,435,885
20.8%	18.3%	10.0%	9.0%
2.18%	2.66%	3.50%	3.87%

Pleasant Valley Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Eight Fiscal Years

	2022*	2021*	2020*
District's proportion of the net pension liability	-0.165620%	0.401184%	0.405431%
District's proportionate share of the net pension liability	\$ 571,765	\$ 28,182,108	\$ 23,477,096
District's covered payroll	\$ 33,113,826	\$ 31,851,031	\$ 30,870,918
District's proportionate share of the net pension liability as a percentage of its covered payroll	1.73%	88.48%	76.05%
Plan fiduciary net pension as a percentage of the total pension liability	100.81%	82.90%	85.45%

*The amounts presented for each fiscal year were determined as of the prior fiscal year-end.

Note: The schedule is intended to present information for ten years. Information prior to 2015 is not available.

See Notes to Required Supplementary Information.

2019*	2018*	2017*	2016*	2015*
0.396414%	0.380032%	0.374103%	0.366061%	0.365605%
\$ 25,086,036	\$ 25,314,966	\$ 23,543,466	\$ 18,085,204	\$ 14,499,546
\$ 29,800,064	\$ 28,377,079	\$ 26,851,672	\$ 25,093,051	\$ 23,941,880
84.18%	89.21%	87.68%	72.07%	60.56%
83.62%	82.21%	81.82%	85.19%	87.61%

Pleasant Valley Community School District

Required Supplementary Information

Schedule of District Contributions (in Thousands)

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2022	2021	2020	2019
Statutorily required contribution	\$ 3,381	\$ 3,125	\$ 3,007	\$ 2,913
Contributions in relation to the statutorily required contribution	\$ (3,381)	\$ (3,125)	\$ (3,007)	\$ (2,913)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 35,820	\$ 33,114	\$ 31,851	\$ 30,871
Contributions as a percentage of employee payroll	9.44%	9.44%	9.44%	9.44%

See Notes to Required Supplementary Information.

2018	2017	2016	2015	2014	2013
\$ 2,661	\$ 2,534	\$ 2,398	\$ 2,241	\$ 2,138	\$ 1,913
\$ (2,661)	\$ (2,534)	\$ (2,398)	\$ (2,241)	\$ (2,138)	\$ (1,913)
\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
\$ 29,800	\$ 28,377	\$ 26,852	\$ 25,093	\$ 23,942	\$ 22,065
8.93%	8.93%	8.93%	8.93%	8.93%	8.67%

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by \$30,099,186.

During the year ended June 30, 2022, expenditures did not exceed the amounts budgeted.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30-year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

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Other Supplementary Information

Pleasant Valley Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2022

	Special Revenue		Debt Service	Total
	Management Levy	Student Activity		
Assets				
Cash and pooled investments	\$ 2,252,525	\$ 875,221	\$ 302,213	\$ 3,429,959
Receivables:				
Property tax:				
Current year	2,445	-	-	2,445
Succeeding year	1,930,000	-	-	1,930,000
Accounts	-	1,350	-	1,350
Prepaid items	-	4,259	-	4,259
Total assets	\$ 4,184,970	\$ 880,830	\$ 302,213	\$ 5,368,013
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 457	\$ 63,433	\$ -	\$ 63,890
Unearned revenue	-	18,597	-	18,597
Total liabilities	457	82,030	-	82,487
Deferred inflows of resources, Unavailable revenue-succeeding year property tax	1,930,000	-	-	1,930,000
Fund balances:				
Nonspendable	-	4,259	-	4,259
Restricted	2,254,513	794,541	302,213	3,351,267
Total fund balances	2,254,513	798,800	302,213	3,355,526
Total liabilities, deferred inflows of resources and fund balances	\$ 4,184,970	\$ 880,830	\$ 302,213	\$ 5,368,013

Pleasant Valley Community School District

**Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2022**

	Special Revenue		Debt	
	Management	Student	Service	Total
	Levy	Activity		
Revenues:				
Local sources:				
Local tax	\$ 809,119	\$ -	\$ -	\$ 809,119
Other	28,545	1,041,135	11,560	1,081,240
State sources	9,121	-	-	9,121
Total revenues	846,785	1,041,135	11,560	1,899,480
Expenditures:				
Current:				
Instruction	295,328	1,032,142	-	1,327,470
Support services:				
Student services	30,592	-	-	30,592
Instructional staff services	29,304	-	-	29,304
Administration services	62,203	3,330	-	65,533
Operation and maintenance of plant services	340,767	7,884	-	348,651
Transportation services	5,074	-	-	5,074
Noninstructional programs	24,647	-	-	24,647
Debt Service:				
Principal	-	-	5,384,402	5,384,402
Interest	-	-	1,135,984	1,135,984
Total expenditures	787,915	1,043,356	6,520,386	8,351,657
Excess (deficiency) of revenues over (under) expenditures	58,870	(2,221)	(6,508,826)	(6,452,177)
Other financing sources:				
Transfers in	-	19,500	6,521,735	6,541,235
Total other financing sources	-	19,500	6,521,735	6,541,235
Net change in fund balances	58,870	17,279	12,909	89,058
Fund balances, beginning of year	2,195,643	781,521	289,304	3,266,468
Fund balances, end of year	\$ 2,254,513	\$ 798,800	\$ 302,213	\$ 3,355,526

Pleasant Valley Community School District

Schedule of Combining Balance Sheet

Capital Project Fund - By Account

June 30, 2022

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 14,054,102	\$ 1,362,974	\$ 15,417,076
Receivables:			
Property tax:			
Current year	-	9,761	9,761
Succeeding year	-	3,240,000	3,240,000
Due from other governments	736,061	-	736,061
Total assets	\$ 14,790,163	\$ 4,612,735	\$ 19,402,898
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	\$ 887,074	\$ 260,733	\$ 1,147,807
Total liabilities	887,074	260,733	1,147,807
Deferred Inflows of Resources:			
Unavailable revenue-succeeding year property tax	-	3,240,000	3,240,000
Unavailable revenue-statewide sales and services tax	292,722	-	292,722
Total deferred inflows of resources	292,722	3,240,000	3,532,722
Fund Balances:			
Restricted for:			
Physical plant and equipment	-	1,112,002	1,112,002
School infrastructure	13,610,367	-	13,610,367
Total fund balances	13,610,367	1,112,002	14,722,369
Total liabilities and fund balances	\$ 14,790,163	\$ 4,612,735	\$ 19,402,898

Pleasant Valley Community School District

Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Capital Project Fund - By Account
Year Ended June 30, 2022

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	\$ 3,422,653	\$ 3,422,653
Other	68,744	3,194	71,938
State sources	6,298,315	40,731	6,339,046
Federal sources	-	16,171	16,171
Total revenues	6,367,059	3,482,749	9,849,808
Expenditures:			
Current:			
Support services:			
Administration services	-	68,866	68,866
Operation and maintenance of plant services	-	66,163	66,163
Other expenditures, facilities acquisition	112,866	905,162	1,018,028
Debt service, fees	2,100	-	2,100
Total expenditures	114,966	1,040,191	1,155,157
Excess of revenues over expenditures	6,252,093	2,442,558	8,694,651
Other financing (uses):			
Transfers out	(4,855,737)	(1,665,998)	(6,521,735)
Total other financing (uses)	(4,855,737)	(1,665,998)	(6,521,735)
Net change in fund balance	1,396,356	776,560	2,172,916
Fund balance, beginning of year	12,214,011	335,442	12,549,453
Fund balance, end of year	\$ 13,610,367	\$ 1,112,002	\$ 14,722,369

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts
Year Ended June 30, 2022

Account	Balance Beginning of Year	Revenues	Expenditures	Interfund Transfers	Balance End of Year
Elementary and Junior High Activities:					
P.V.J.H. Athletics	\$ 723	\$ 340	\$ 800	\$ -	\$ 263
P.V.J.H. Band	2,457	108	-	-	2,565
P.V.J.H. Vocal Music	-	3,124	3,043	306	387
P.V.J.H. Bookstore	211	3,519	3,519	-	211
P.V.J.H. Drama	10,520	-	385	-	10,135
P.V.J.H. Chorus	73	-	-	-	73
P.V.J.H. General Activities	5,729	1,186	2,662	204	4,457
P.V.J.H. Home Economics	1,712	-	-	-	1,712
P.V.J.H. Quest Program	327	-	-	-	327
P.V.J.H. Science	14	-	-	-	14
P.V.J.H. Special Olympics	197	-	-	-	197
P.V.J.H. Student Council	1,803	-	-	-	1,803
P.V.J.H. Weightlifting Club	5	3,480	3,485	-	-
P.V.J.H. Orchestra	-	338	2	(265)	71
P.V.J.H. PTA	-	60	60	-	-
P.V.J.H Robotics	270	-	-	-	270
P.V.J.H. Yearbook	21,226	16,455	8,907	-	28,774
Bridgeview General Activities	15,512	927	1,607	-	14,832
Bridgeview PTA Donations	11	175	175	-	11
Bridgeview Yearbook	692	1,599	1,545	-	746
Bridgeview Student Activity	9	13	-	-	22
Bridgeview Vocal Music	466	801	892	-	375
Bridgeview Robotics	50	-	-	-	50
Bridgeview Plant Club	344	-	-	-	344
Cody Band	3	31	-	-	34
Cody Book Club	1,204	425	-	-	1,629
Cody Bookstore	295	-	-	-	295
Cody Candy Sales	782	-	-	-	782
Cody General Activities	10,384	2,005	3,096	-	9,293
Cody Jump for Heart	2	-	-	-	2
Cody Robotics	60	-	-	-	60
Cody Student Fund	429	-	-	-	429
Cody Vocal Music	490	400	397	-	493
Cody Yearbook	4,569	2,644	2,266	-	4,947
Cody Student Council	65	-	-	-	65
Cody PTA Donations	2,727	5,414	6,433	-	1,708
Hopewell General Activities	12,085	2,229	2,017	-	12,297
Hopewell PTA	17	3,569	5,781	2,195	-
Hopewell Book Club	7,760	2,553	2,040	-	8,273
Hopewell Vocal Music	922	1,994	2,755	-	161
Hopewell Yearbook	2,270	8,032	5,961	-	4,341
Pleasant View General Activities	12,037	3,961	5,571	-	10,427
Pleasant View PTA	2,113	15,051	16,370	-	794
Pleasant View Vocal Music	108	-	108	-	-
Pleasant View Book Club	827	5,376	2,419	-	3,784
Pleasant View Yearbook	-	8,494	8,494	-	-
Pleasant View Robotics	1,757	-	-	-	1,757

(Continued)

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts (Continued)
Year Ended June 30, 2022

Account	Balance Beginning of Year	Revenues	Expenditures	Interfund Transfers	Balance End of Year
Elementary and Junior High Activities:					
Riverdale Book Club	\$ 627	\$ 925	\$ 1,165	\$ -	\$ 387
Riverdale Bookstore	218	-	-	-	218
Riverdale Jump for Heart	42	-	-	-	42
Riverdale General Activities	18,598	3,581	2,991	-	19,188
Riverdale PTA	12,810	524	12,191	-	1,143
Riverdale Student Council	264	-	-	-	264
Riverdale Science	843	-	-	-	843
Riverdale Band	500	-	-	-	500
Riverdale Robotics	730	-	-	-	730
Riverdale Vocal Music	35	-	-	-	35
Riverdale Yearbook	7,199	7,109	5,702	-	8,606
District-Wide Garage Sale	1,234	-	-	-	1,234
District-Wide Wellness	219	-	-	-	219
District-Wide STEM Night	556	-	-	-	556
Interest	55,880	1,070	-	(1,985)	54,965
6th Grade Choir	2,570	392	40	-	2,922
FG General Activities	250	1,208	966	-	492
Elementary and JH First Lego League	1,000	8,256	3,968	-	5,288
Forest Grove PTA Donations	-	5,384	5,384	-	-
Forest Grove Vocal Music	-	200	-	-	200
Forest Grove Student Activity	-	312	312	-	-
Forest Grove Yearbook	-	2,013	2,069	56	-
Forest Grove Book Club	-	1,590	542	-	1,048
High School Activities:					
General Administrative	4,247	2,960	1,238	1,267	7,236
Clubs and Organizations	154,896	274,131	287,752	(45,917)	95,358
Drama	10,547	71,682	77,220	4,370	9,379
Therapy Dog	526	-	-	-	526
High School Athletics	129,783	-	-	10,533	140,316
Sparkles	81	3,446	2,755	-	772
Music Clubs	27,962	48,097	55,148	3,481	24,392
FCCLA	1,015	454	330	-	1,139
Croquet/Gentlemen's Club	236	-	-	-	236
PV Pals	925	-	32	-	893
PV Shining Stars	36	50	42	-	44
PVMCSA	145	-	-	-	145
Multi-occupations	72	-	-	-	72
First Robotics Club	961	13,551	5,814	-	8,698
Valenian	30,816	83,082	71,533	-	42,365
Athletic Support Groups	147,949	409,683	412,324	30,483	175,791
Interest	43,366	2,873	1,922	(7,861)	36,456
Nonspendable Prepaid Items	1,126	4,259	1,126	3,133	7,392
Intrafund Transfers	-	19,500	-	-	19,500
Total	\$ 781,521	\$ 1,060,635	\$ 1,043,356	\$ -	\$ 798,800

Pleasant Valley Community School District

Combining Statement of Net Position

Nonmajor Enterprise Funds

June 30, 2022

	School Nutrition	Student Construction	Total
Assets			
Current:			
Cash and cash equivalents	\$ 3,073,031	\$ -	\$ 3,073,031
Accounts receivable	164	-	164
Inventories	30,049	-	30,049
Assets held for sale	-	88,134	88,134
Total current assets	3,103,244	88,134	3,191,378
Noncurrent:			
Capital assets, net of accumulated depreciation	669,179	-	669,179
Total assets	3,772,423	88,134	3,860,557
Deferred Outflows of Resources:			
Pension related deferred outflows	96,576	-	96,576
OPEB related deferred outflows	73,571	-	73,571
Total deferred outflows of resources	170,147	-	170,147
Liabilities			
Current:			
Accounts payable	2,079	-	2,079
Unearned revenue, other	183,622	-	183,622
Total current liabilities	185,701	-	185,701
Noncurrent:			
Net OPEB liability	188,839	-	188,839
Net pension liability	48,424	-	48,424
Total liabilities	422,964	-	422,964
Deferred Inflows of Resources:			
Pension related deferred inflows	396,302	-	396,302
OPEB related deferred inflows	56,461	-	56,461
Total deferred inflows of resources	452,763	-	452,763
Net Position			
Net investment in capital assets	669,179	-	669,179
Restricted, for food service	7,716	-	7,716
Unrestricted	2,389,948	88,134	2,478,082
Total net position	\$ 3,066,843	\$ 88,134	\$ 3,154,977

Pleasant Valley Community School District

Statement of Revenues, Expenses and Changes in Net Position

Nonmajor Enterprise Funds

Year Ended June 30, 2022

	School Nutrition	Student Construction	Total
Operating revenues:			
Local sources, charges for services	\$ 743,024	\$ -	\$ 743,024
Operating expenses:			
Noninstructional programs:			
Salaries	738,402	-	738,402
Benefits	132,461	-	132,461
Purchased services	42,872	-	42,872
Supplies	1,846,141	-	1,846,141
Depreciation	117,592	-	117,592
Miscellaneous	148	-	148
Total operating expenses	2,877,616	-	2,877,616
Operating (loss)	(2,134,592)	-	(2,134,592)
Nonoperating revenues:			
Interest on investments	10,947	-	10,947
Local sources	-	88,134	88,134
State sources	19,271	-	19,271
Federal sources	3,448,917	-	3,448,917
Total nonoperating revenues	3,479,135	88,134	3,567,269
Income before transfers	1,344,543	88,134	1,432,677
Transfers out	(219,176)	-	(219,176)
Change in net position	1,125,367	88,134	1,213,501
Net position, beginning of year	1,941,476	-	1,941,476
Net position, end of year	<u>\$ 3,066,843</u>	<u>\$ 88,134</u>	<u>\$ 3,154,977</u>

Pleasant Valley Community School District

Combining Statement of Cash Flows

Nonmajor Enterprise Funds

Year Ended June 30, 2022

	School Nutrition	Student Construction	Total
Cash flows from operating activities:			
Cash received from sale of lunches and breakfasts	\$ 731,840	\$ -	\$ 731,840
Cash payments to employees for services	(936,481)	-	(936,481)
Cash payments to suppliers for goods or services	(1,637,747)	(88,134)	(1,725,881)
Net cash (used in) operating activities	(1,842,388)	(88,134)	(1,930,522)
Cash flows from noncapital financing activities:			
Transfers to other funds	(219,176)	-	(219,176)
Local grants received	-	88,134	88,134
State grants received	19,271	-	19,271
Federal grants received	3,209,607	-	3,209,607
Net cash provided by noncapital financing activities	3,009,702	88,134	3,097,836
Cash flows (used in) capital related financing activities,			
Acquisition of capital assets	(46,630)	-	(46,630)
Cash flows from investing activities, interest on investments	10,947	-	10,947
Net increase in cash and cash equivalents	1,131,631	-	1,131,631
Cash and cash equivalents, beginning of year	1,941,400	-	1,941,400
Cash and cash equivalents, end of year	<u>\$ 3,073,031</u>	<u>\$ -</u>	<u>\$ 3,073,031</u>
Reconciliation of operating (loss) to net cash (used in) operating activities:			
Operating (loss)	\$ (2,134,592)	\$ -	\$ (2,134,592)
Adjustments to reconcile operating (loss) to net cash (used in) operating activities:			
Depreciation	117,592	-	117,592
Commodities used	239,310	-	239,310
Decrease in accounts receivable	3,805	-	3,805
Decrease in inventories	356	-	356
Decrease in prepaid expenses	10,596	-	10,596
(Increase) in assets held for resale	-	(88,134)	(88,134)
Increase in accounts payable	1,152	-	1,152
Increase in net OPEB liability and related deferrals	27,516	-	27,516
(Decrease) in pension and related deferrals	(93,134)	-	(93,134)
(Decrease) in unearned revenue	(14,989)	-	(14,989)
Net cash (used in) operating activities	\$ (1,842,388)	\$ (88,134)	\$ (1,930,522)
Schedule of noncash items:			
Noncapital financing activities, federal commodities	\$ 239,310	\$ -	\$ 239,310

Statistical Section

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Pleasant Valley Community School District

Statistical Section Contents

The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	77 - 90
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	
Revenue Capacity	91 - 96
These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.	
Debt Capacity	97 - 102
These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	
Demographic and Economic Information	103
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments	
Operating Information	104 - 112
These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.	

Pleasant Valley Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2013	2014*	2015	2016
Governmental activities:				
Net investment in				
capital assets	\$ 42,382,057	\$ 44,512,322	\$ 47,577,526	\$ 46,357,427
Restricted	2,240,011	2,972,549	3,299,023	7,618,033
Unrestricted	3,488,313	(13,208,319)	(11,059,471)	(9,745,457)
Business-type activities				
Net investment in				
capital assets	738,225	664,469	583,135	523,807
Restricted	5,264	11,156	10,843	7,646
Unrestricted	251,117	(51,931)	106,827	430,982
Total primary government				
net position	\$ 49,104,987	\$ 34,900,246	\$ 40,517,883	\$ 45,192,438

* Implemented GASB Statement No. 68
Source: District financial records

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ 48,923,365	\$ 53,863,845	\$ 54,688,945	\$ 57,616,352	\$ 61,834,605	\$ 64,294,575
8,779,479	6,824,623	9,377,347	9,546,788	9,520,185	11,617,264
(9,497,092)	(11,162,552)	(12,357,024)	(13,090,297)	(12,120,596)	(7,438,766)
446,365	541,660	517,626	519,029	740,141	669,179
5,189	17,737	26,299	41,295	32,205	7,716
842,399	1,012,013	1,240,620	1,018,293	1,169,130	2,478,082
<u>\$ 49,499,705</u>	<u>\$ 51,097,326</u>	<u>\$ 53,493,813</u>	<u>\$ 55,651,460</u>	<u>\$ 61,175,670</u>	<u>\$ 71,628,050</u>

Pleasant Valley Community School District

Expenses, Program Revenues and Net (Expense) Revenue

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Expenses:				
Governmental activities:				
Regular instruction	\$ 21,218,305	\$ 23,050,148	\$ 23,184,329	\$ 25,438,186
Special instruction	3,234,334	3,468,985	3,526,775	3,685,199
Other instruction	3,689,360	4,306,623	4,584,831	4,426,675
Student services	1,351,144	1,612,251	1,653,333	1,805,292
Instructional staff services	1,516,098	1,747,264	1,837,349	3,217,189
Administration services	3,898,423	4,278,116	3,492,635	3,730,755
Operation and maintenance of plant services	3,179,559	3,986,499	3,811,382	3,683,918
Transportation services	1,285,740	1,346,380	1,368,313	1,687,983
Noninstructional	17,808	18,959	20,941	42,924
Interest on long-term debt	-	-	-	206,613
AEA flowthrough	1,476,199	1,638,338	1,744,881	1,826,774
Depreciation (unallocated)	248,002	-	-	-
Total governmental activities	41,114,972	45,453,563	45,224,769	49,751,508
Business-type activities:				
Administration Service	40,932	34,856	56,128	44,303
Operation and maintenance of plant services	45,426	60,236	60,236	32,362
Food service operations	1,623,660	1,731,856	1,756,835	1,809,658
Total business-type activities	1,710,018	1,826,948	1,873,199	1,886,323
Total primary government expenses	42,824,990	47,280,511	47,097,968	51,637,831
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction:				
Regular instruction	2,145,168	2,169,067	2,306,499	2,383,423
Special instruction	7,027	46,159	880	-
Other instruction	730,854	902,136	928,278	874,540
Support services	31,620	32,940	28,130	36,603
Operating grants and contributions	5,057,477	5,529,965	6,028,330	7,726,677
Capital grants and contributions	-	-	-	-
Total governmental activities	7,972,146	8,680,267	9,292,117	11,021,243
Business-type activities:				
Charges for services:				
Food service operations	1,253,276	1,410,966	1,517,506	1,590,833
Operating grants and contributions	419,960	489,200	579,884	582,902
Capital grants and contributions	-	-	-	-
Total business-type activities	1,673,236	1,900,166	2,097,390	2,173,735
Total primary government revenues	9,645,382	10,580,433	11,389,507	13,194,978
Net (expense) revenues:				
Total governmental activities	(33,142,826)	(36,773,296)	(35,932,652)	(38,730,265)
Total business-type activities	(36,782)	73,218	224,191	287,412
Total primary government revenues	\$ (33,179,608)	\$ (36,700,078)	\$ (35,708,461)	\$ (38,442,853)

Source: District financial records

Fiscal Year						
2017	2018	2019	2020	2021	2022	
\$ 26,703,792	\$ 29,527,917	\$ 29,900,727	\$ 30,147,393	\$ 32,063,358	\$ 31,061,506	
3,806,549	4,177,790	4,177,790	5,349,038	6,055,626	6,209,079	
4,755,087	5,033,700	5,044,702	5,764,629	5,663,271	5,657,450	
1,921,235	2,121,430	2,186,916	2,161,707	1,974,779	2,348,172	
3,487,286	3,749,838	3,932,783	4,186,258	4,168,647	4,035,298	
4,764,242	5,112,130	5,306,450	5,410,975	5,763,843	5,750,866	
3,675,409	4,032,811	4,590,464	3,681,052	3,615,929	3,651,439	
1,809,887	1,934,517	1,988,860	1,951,249	1,959,282	2,037,751	
33,911	23,618	21,855	24,256	23,195	24,945	
471,868	623,732	1,455,077	1,423,256	1,214,348	1,089,304	
1,901,900	2,056,304	2,156,919	2,259,331	2,375,720	2,486,311	
-	-	-	-	-	-	
53,331,166	58,393,787	60,762,543	62,359,144	64,877,998	64,352,121	
-	-	-	-	-	-	
-	-	-	-	-	-	
1,937,243	2,079,277	2,118,968	1,957,472	1,964,268	2,877,616	
1,937,243	2,079,277	2,118,968	1,957,472	1,964,268	2,877,616	
55,268,409	60,473,064	62,881,511	64,316,616	66,842,266	67,229,737	
2,470,094	2,553,359	2,165,736	2,202,140	2,689,110	2,722,717	
-	-	174,032	134,936	-	7,560	
924,568	982,706	960,964	725,108	714,982	1,059,330	
35,489	41,725	32,350	29,437	22,376	35,163	
6,619,414	6,999,341	7,256,134	7,336,281	10,320,304	9,411,513	
200,000	-	15,054	-	-	-	
10,249,565	10,577,131	10,604,270	10,427,902	13,746,772	13,236,283	
1,664,304	1,750,799	1,771,203	1,347,137	428,604	743,024	
628,697	629,562	667,986	508,088	1,808,630	3,556,322	
-	-	-	-	-	-	
2,293,001	2,567,897	2,439,189	1,855,225	2,237,234	4,299,346	
12,542,566	13,145,028	13,043,459	12,283,127	15,984,006	17,535,629	
(43,081,601)	(47,816,656)	(50,158,273)	(51,931,242)	(51,131,226)	(51,115,838)	
355,758	488,620	320,221	(102,247)	272,966	1,421,730	
\$ (42,725,843)	\$ (47,328,036)	\$ (49,838,052)	\$ (52,033,489)	\$ (50,858,260)	\$ (49,694,108)	

Pleasant Valley Community School District

**General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)**

	Fiscal Year			
	2013	2014	2015	2016
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	\$ 14,583,283	\$ 15,563,490	\$ 16,114,877	\$ 16,698,868
Capital projects	2,053,152	2,157,906	2,268,217	2,379,912
Other specific purposes	598,148	629,038	661,553	690,670
Statewide sales and services tax	3,443,992	3,680,667	4,080,583	4,194,086
Unrestricted grants	15,257,879	17,312,624	17,785,894	18,552,175
Miscellaneous	194,892	325,442	344,825	509,597
Investment earnings	46,402	53,815	67,229	87,857
Transfers	100,000	100,000	150,000	30,025
Total governmental activities	36,277,748	39,822,982	41,473,178	43,143,190
Business-type activities:				
Investment earnings	2,157	2,190	2,920	4,243
Transfers	(100,000)	(100,000)	(150,000)	(30,025)
Total business-type activities	(97,843)	(97,810)	(147,080)	(25,782)
Total primary government	36,179,905	39,725,172	41,326,098	43,117,408
Change in net position:				
Total governmental activities	(495,548)	3,890,330	2,742,913	4,412,925
Total business-type activities	(24,625)	126,381	140,332	261,630
Total primary government	\$ (520,173)	\$ 4,016,711	\$ 2,883,245	\$ 4,674,555

Source: District financial records

Fiscal Year						
2017	2018	2019	2020	2021	2022	
\$ 17,606,221	\$ 18,359,453	\$ 19,216,658	\$ 19,510,686	\$ 21,072,520	\$ 22,390,453	
2,566,497	2,705,964	2,854,682	3,065,500	3,236,818	3,422,653	
743,239	589,075	634,423	728,431	759,226	809,119	
4,343,875	4,423,311	5,059,769	5,191,254	5,587,148	5,854,401	
21,128,076	22,602,674	23,406,467	24,503,479	24,430,506	27,262,472	
513,969	460,997	548,663	535,476	476,946	285,201	
124,520	202,180	489,188	634,970	813,563	163,251	
30,953	216,856	131,775	125,021	(84,150)	219,176	
47,057,350	49,560,510	52,341,625	54,294,817	56,292,577	60,406,726	
6,713	13,441	24,689	21,340	5,743	10,947	
(30,953)	(216,856)	(131,775)	(125,021)	84,150	(219,176)	
(24,240)	(203,415)	(107,086)	(103,681)	89,893	(208,229)	
47,033,110	49,357,095	52,234,539	54,191,136	56,382,470	60,198,497	
(759,306)	1,743,854	2,183,352	2,363,575	56,292,577	9,290,888	
464,380	285,205	213,135	(205,928)	89,893	1,213,501	
\$ (294,926)	\$ 2,029,059	\$ 2,396,487	\$ 2,157,647	\$ 56,382,470	\$ 10,504,389	

Pleasant Valley Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
General Fund:				
Nonspendable	\$ 67,445	\$ 135,876	\$ 67,078	\$ 130,038
Restricted	343,577	351,165	379,954	600,523
Assigned	1,537,285	1,841,702	1,854,244	2,040,642
Unassigned	1,853,782	2,252,617	3,101,609	2,957,325
Total General Fund	3,802,089	4,581,360	5,402,885	5,728,528
All other governmental funds:				
Nonspendable	2,182	7,470	6,131	1,112
Restricted for:				
Capital projects funds	48,175	497,894	564,012	5,651,773
Debt service	-	-	-	594,338
Special revenue funds	1,752,553	1,937,684	2,157,946	2,175,331
Unassigned	(78,676)	-	-	-
Total all other governmental funds	1,724,234	2,443,048	2,728,089	8,422,554
Total governmental funds	\$ 5,526,323	\$ 7,024,408	\$ 8,130,974	\$ 14,151,082

Source: District financial records

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ 107,892	\$ 142,536	\$ 143,272	\$ 158,217	\$ 358,172	\$ 518,688
634,569	662,376	523,933	623,430	895,985	1,105,162
2,146,505	2,313,277	3,148,671	3,133,352	3,162,842	3,161,450
3,550,195	3,470,053	3,238,128	4,309,175	6,920,517	7,157,559
6,439,161	6,588,242	7,054,004	8,224,174	11,337,516	11,942,859
4,918	5,295	9,884	96,367	1,126	4,259
6,752,614	3,268,728	28,524,186	20,244,645	12,549,453	14,722,369
381,144	22,455	1,059,583	280,874	289,304	302,213
2,431,290	2,643,444	2,919,016	3,012,089	2,976,038	3,049,054
-	-	-	-	-	-
9,569,966	5,939,922	32,512,669	23,633,975	15,815,921	18,077,895
\$ 16,009,127	\$ 12,528,164	\$ 39,566,673	\$ 31,858,149	\$ 27,153,437	\$ 30,020,754

Pleasant Valley Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Local sources:				
Property taxes	\$ 17,222,041	\$ 18,350,434	\$ 19,044,647	\$ 19,769,450
Local option sales and services taxes	3,443,992	-	-	-
Interest income	46,402	53,815	67,229	87,857
Other revenues	3,272,005	3,547,653	3,598,092	3,606,539
Total local sources	23,984,440	21,951,902	22,709,968	23,463,846
State sources:				
Statewide sales, services and use tax	-	3,668,835	4,067,504	4,182,214
State foundation aid and state grants	19,450,611	21,968,271	22,963,212	25,572,441
Total state sources	19,450,611	25,637,106	27,030,716	29,754,655
Federal sources, federal grants	698,506	798,107	851,012	904,035
Total revenues	\$ 44,133,557	\$ 48,387,115	\$ 50,591,696	\$ 54,122,536

Source: District financial records

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ 21,662,607	\$ 21,654,493	\$ 22,705,763	\$ 23,304,617	\$ 25,068,564	\$ 26,622,225
-	-	-	-	-	-
124,520	229,390	151,685	599,831	796,576	163,251
3,287,108	3,910,439	3,952,799	3,303,074	3,443,555	3,958,874
25,074,235	25,794,322	26,810,247	27,207,522	29,308,695	30,744,350
4,333,461	4,415,088	5,059,769	5,215,928	5,117,291	6,298,315
26,985,461	28,762,094	29,773,918	31,147,243	33,221,454	34,530,111
31,318,922	33,177,182	34,833,687	36,363,171	38,338,745	40,828,426
872,011	941,058	1,012,883	923,013	1,991,226	2,284,600
\$ 57,265,168	\$ 59,912,562	\$ 62,656,817	\$ 64,493,706	\$ 69,638,666	\$ 73,857,376

Pleasant Valley Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Instruction	\$ 26,410,652	\$ 28,708,400	\$ 30,012,492	\$ 32,013,799
Student services	1,351,144	1,612,251	1,653,333	1,805,292
Instructional staff services	1,516,098	1,747,264	1,837,349	3,217,189
Administration services	3,577,108	3,955,941	4,043,845	4,209,472
Operation and maintenance of plant	2,699,383	3,198,034	3,207,753	3,040,088
Transportation services	1,285,740	1,346,380	1,368,313	1,687,983
Noninstructional programs	17,808	18,959	20,941	42,924
Capital outlay, facilities acquisition	6,185,583	4,664,562	3,747,432	10,084,680
AEA flowthrough	1,476,199	1,638,338	1,744,881	1,826,774
Debt service:				
Principal	2,075,000	3,700,000	2,000,000	-
Interest and fiscal charges	2,774	10,268	1,798	206,613
Total expenditures	\$ 46,597,489	\$ 50,600,397	\$ 49,638,137	\$ 58,134,814
Debt service as a percentage of noncapital expenditures	5.09%	7.98%	4.31%	0.42%

Source: District financial records

Fiscal Year						
2017	2018	2019	2020	2021	2022	
\$ 32,861,581	\$ 35,464,968	\$ 35,574,571	36,542,961	\$ 39,113,467	\$ 42,286,174	
1,921,235	2,066,131	2,140,443	2,081,854	1,907,354	2,546,322	
3,487,286	3,648,615	3,847,717	4,036,280	4,029,453	4,447,502	
4,466,699	4,750,539	4,860,451	4,818,158	5,140,249	5,715,789	
3,307,042	3,491,192	3,731,218	3,501,291	3,729,238	4,036,232	
1,809,887	1,932,688	1,987,324	1,948,687	1,957,462	2,043,837	
33,911	23,618	21,855	24,256	23,195	24,945	
13,587,047	17,072,274	9,136,619	10,592,542	9,757,645	1,045,132	
1,901,900	2,056,304	2,156,919	2,259,331	2,375,720	2,486,311	
1,590,000	2,840,000	2,979,691	5,138,397	5,266,348	5,478,365	
471,868	623,732	1,455,077	1,383,494	1,263,003	1,138,084	
\$ 65,438,456	\$ 73,970,061	\$ 67,891,885	\$ 72,327,251	\$ 74,563,134	\$ 71,248,693	
3.95%	6.05%	7.46%	10.52%	10.03%	9.46%	

Pleasant Valley Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Excess (deficiency) of revenues over (under) expenditures	\$ (2,463,932)	\$ (2,213,282)	\$ 953,559	\$ (4,012,278)
Other financing sources (uses):				
Sale of capital assets	502	11,367	3,007	2,361
Issuance of debt	2,975,000	3,600,000	-	10,000,000
Issuance of lease	-	-	-	-
Transfers in	2,177,774	3,809,488	2,151,798	716,187
Transfers out	(2,077,774)	(3,709,488)	(2,001,798)	(686,162)
Total other financing sources (uses)	3,075,502	3,711,367	153,007	10,032,386
Net change in fund balances	\$ 611,570	\$ 1,498,085	\$ 1,106,566	\$ 6,020,108

Source: District financial records

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ (8,173,288)	\$ (14,057,499)	\$ (5,235,067)	\$ (7,833,545)	\$ (4,924,468)	\$ 2,608,683
380	10,842	60,000	-	5,975	12,354
10,000,000	10,348,838	32,081,801	-	-	-
-	-	-	-	-	27,104
1,736,826	3,182,554	5,306,374	5,942,616	6,670,799	6,760,411
(1,705,873)	(2,965,698)	(5,174,599)	(5,817,595)	(6,457,018)	(6,541,235)
10,031,333	10,576,536	32,273,576	125,021	219,756	258,634
\$ 1,858,045	\$ (3,480,963)	\$ 27,038,509	\$ (7,708,524)	\$ (4,704,712)	\$ 2,867,317

Pleasant Valley Community School District

**Taxable Value of Property
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Actual Value				
	Residential Property	Commercial Property	Other Property	Utilities Gas & Elec Only	TIF
2013	\$ 855,055,343	\$ 227,252,979	\$ 41,356,824	\$ 46,216,110	\$ 110,259,095
2014	918,634,549	217,741,000	42,290,592	46,159,038	115,685,645
2015	976,952,195	229,658,580	34,879,246	53,017,223	120,798,737
2016	1,043,403,312	216,939,941	33,507,263	58,484,070	133,372,143
2017	1,133,691,222	225,859,477	32,387,728	58,731,748	146,892,381
2018	1,208,406,161	223,487,266	32,781,704	55,030,720	158,345,603
2019	1,311,230,225	232,770,807	38,114,319	54,463,164	134,836,020
2020	1,401,196,722	234,433,916	38,723,408	52,827,278	133,107,413
2021	1,428,289,294	251,200,079	37,035,470	50,758,578	149,366,560
2022	1,528,268,831	263,886,787	36,961,340	55,195,991	150,506,886

Source: Iowa Department of Management and Scott County Auditor.

Notes: Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year are applied to the second fiscal year following the tax assessment year.

(a) Per \$1,000 of taxable value.

	Less	Total Taxable	Total
	Exemptions	Value - Actual	Direct
			Rate (a)
\$	2,240,917	1,277,899,434	14.64092
	2,202,204	1,338,308,620	14.74093
	2,198,321	1,413,107,660	14.49409
	2,316,852	1,483,389,877	14.34409
	2,285,368	1,595,277,188	14.14425
	2,252,032	1,675,799,422	13.95589
	2,248,328	1,769,166,207	13.65587
	2,211,288	1,858,077,449	13.41138
	2,185,360	1,914,464,621	13.78152
	2,166,840	2,032,652,995	13.76024

Pleasant Valley Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of taxable value)

(Unaudited)

Fiscal Year	District Direct Rates			Total
	General Purposes	Capital Purposes	Debt Service	
2013	12.97092	1.67000	-	14.64092
2014	13.07093	1.67000	-	14.74093
2015	12.82409	1.67000	-	14.49409
2016	12.67409	1.67000	-	14.34409
2017	12.47425	1.67000	-	14.14425
2018	12.28589	1.67000	-	13.95589
2019	11.98587	1.67000	-	13.65587
2020	11.74138	1.67000	-	13.41138
2021	12.11152	1.67000	-	13.78152
2022	12.09024	1.67000	-	13.76024

Source: Iowa Department of Management and Scott County Auditor.

Overlapping Rates					
Scott County	College Area IX	City of Bettendorf	City of Leclaire	City of Panarama Park	City of Riverdale
6.30000	0.91511	12.55000	14.69999	5.47320	10.55647
6.23534	0.92043	12.55000	14.47264	5.26743	10.55525
6.13204	0.92782	12.55000	14.47264	5.26550	12.21629
6.00377	0.96863	12.55000	14.29804	5.79870	11.90048
5.82228	1.00909	12.55000	14.29798	5.80468	11.99199
5.82167	1.03000	12.50000	13.92602	5.80424	11.99735
5.82167	1.03000	12.50000	13.64999	5.80408	11.84593
5.99401	0.99000	12.50000	13.35596	5.80405	9.39248
6.21304	0.82406	12.80000	13.09828	5.97332	9.39665
6.04197	0.92357	12.80000	12.83631	6.11078	6.03216

Pleasant Valley Community School District

**Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)**

Name of Taxpayer	2022			2013		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Mid American Energy Co.	\$ 42,858,974	1	2.1%			
Arconic Davenport LLC	38,131,491	2	1.9%	\$ 39,527,321	1	3.1%
The Bettplex LLC	21,095,082	3	1.0%			
Continental 203 Fund LLC	20,488,755	4	1.0%			
Iowa American Water Company	12,264,730	5	0.6%			
Pebble Creek Borrower 2021 LLC	11,017,449	6	0.5%			
First Equity Management L C	10,516,293	7	0.5%	11,434,230	2	0.9%
Northern Border Pipeline Company	9,656,141	8	0.5%	10,534,375	3	0.8%
Olympic Steel Iowa Inc	8,647,425	9	0.4%	9,171,760	4	0.7%
Chateau Knoll LLC	8,258,464	10	0.4%	8,136,050	6	0.6%
Bettendorf Regency Apartments				8,701,290	5	0.7%
Alter Trading Corp				7,927,580	7	0.6%
Villas of Bettendorf LLC				7,081,540	8	0.6%
Fountains Independent Living I				6,129,970	9	0.5%
Lindquist Real Estate Partners				6,085,820	10	0.5%
Total	<u>\$ 182,934,804</u>		<u>9.0%</u>	<u>\$ 114,729,936</u>		<u>9.0%</u>
Total Taxable Value	<u>\$ 2,032,652,995</u>			<u>\$ 1,277,899,434</u>		

Source: Scott County Auditor

Pleasant Valley Community School District

Property Tax Levies and Collections

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2013	\$ 17,279,461	\$ 17,252,573	99.84%	\$ 107	\$ 17,252,680	99.85%
2014	18,351,942	18,347,585	99.98%	4,357	\$ 18,351,942	100.00%
2015	19,075,701	19,036,014	99.79%	5,369	\$ 19,041,383	99.82%
2016	19,743,499	19,726,000	99.91%	2,892	\$ 19,728,891	99.93%
2017	20,900,338	20,875,864	99.88%	2,381	\$ 20,878,245	99.89%
2018	21,622,918	21,622,918	100.00%	0	\$ 21,622,918	100.00%
2019	22,695,843	22,675,780	99.91%	5,786	\$ 22,681,566	99.94%
2020	23,505,437	23,268,087	98.99%	237,350	\$ 23,505,437	100.00%
2021	24,783,708	24,783,708	100.00%	0	\$ 24,783,708	100.00%
2022	26,356,996	26,356,996	100.00%	0	\$ 26,356,996	100.00%

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Note: N/A = not available.

Pleasant Valley Community School District

**Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	General Obligation Note	Leases	Revenue Bonds	Total Primary Government	Percentage of Personal Income	Per Capita
2013	\$ 2,100,000	\$ -	\$ -	\$ 2,100,000	0.3%	104
2014	2,000,000	-	-	2,000,000	0.3%	95
2015	-	-	-	-	0.0%	-
2016	-	-	10,000,000	10,000,000	0	466
2017	-	-	18,410,000	18,410,000	2.1%	833
2018	-	348,838	25,570,000	25,918,838	N/A	N/A
2019	18,037,621	259,147	36,680,000	54,976,768	N/A	2,392
2020	16,258,441	175,750	33,360,000	49,794,191	N/A	N/A
2021	14,424,261	89,402	29,970,000	44,483,663	N/A	N/A
2022	12,540,081	213,703	26,515,000	39,268,784	N/A	N/A

Source: District financial records

N/A = not available.

Pleasant Valley Community School District

**Ratio of Net Bonded Debt to Assessed Values
Last Ten Fiscal Years
(Unaudited)**

Year of Collection	Actual Value of Taxable Property	Total Primary Government Outstanding Debt	Net Bonded Debt	Amount Restricted for Repayment of Outstanding Debt	Ratio of Net Bonded Debt to Taxable Value	Net Bonded Debt Per Capita
2012-13	\$ 1,277,899,434	\$ 2,000,000	\$ -	\$ -	-	\$ -
2013-14	1,338,308,620	-	-	-	-	-
2014-15	1,413,107,660	10,000,000	-	-	-	-
2015-16	1,483,389,877	10,000,000	-	594,338	-	-
2016-17	1,595,277,188	18,410,000	-	381,144	-	-
2017-18	1,675,799,422	25,918,838	-	22,455	-	-
2018-19	1,769,166,207	54,976,768	18,037,621	1,059,583	0	785
2019-20	1,858,077,449	49,794,191	16,258,441	373,438	0.9%	N/A
2020-21	1,914,464,621	44,483,663	14,424,261	289,304	0.8%	N/A
2021-22	2,032,652,995	39,268,784	12,540,081	302,213	0.6%	N/A

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements.

N/A = not available.

Pleasant Valley Community School District

**Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)**

	2013	2014	2015	2016
Legal Debt Margin Calculation				
Assessed value	\$ 2,212,983,838	\$ 2,266,008,915	\$ 2,355,418,130	\$ 2,469,017,594
Debt limit (5% of assessed value)	110,649,192	113,300,446	117,770,907	123,450,880
Debt applicable to limit	2,100,000	2,000,000	-	10,000,000
Legal debt margin	\$ 108,549,192	\$ 111,300,446	\$ 117,770,907	\$ 113,450,880
Total net debt applicable to the limit as a percentage of debt limit	1.90%	1.77%	0.00%	8.10%

Source: Iowa Department of Management, Scott County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2021

Assessed value	<u>\$ 3,426,217,440</u>
Debt limit (5% of assessed value)	\$ 171,310,872
Debt applicable to limit	39,268,784
Legal debt margin	<u>\$ 132,042,088</u>

2017	2018	2019	2020	2021	2022
<u>\$ 2,676,942,475</u>	<u>\$ 2,777,879,736</u>	<u>\$ 2,999,567,470</u>	<u>\$ 3,102,841,240</u>	<u>\$ 3,275,467,091</u>	<u>\$ 2,032,652,995</u>
133,847,124	138,893,987	149,978,374	155,142,062	163,773,355	101,632,650
18,410,000	25,918,838	54,976,768	49,794,191	44,483,663	12,275,000
<u>\$ 115,437,124</u>	<u>\$ 112,975,149</u>	<u>\$ 95,001,606</u>	<u>\$ 105,347,871</u>	<u>\$ 119,289,692</u>	<u>\$ 89,357,650</u>
13.75%	18.66%	36.66%	32.10%	27.16%	12.08%

Pleasant Valley Community School District

Direct and Overlapping Governmental Activities Debt

As of June 30, 2022

(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
Scott County	25,509,268	20.32%	5,183,219
Eastern Iowa Community College	37,445,000	13.33%	4,992,112
City of Bettendorf	120,143,259	51.76%	62,189,701
City of LeClaire	22,013,740	100.00%	22,013,740
Subtotal, overlapping debt			<u>94,378,772</u>
District direct debt			<u>39,268,784</u>
Total direct and overlapping debt			<u><u>\$ 133,647,556</u></u>

Source: Scott County Auditor.

Notes:

Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2019 assessed values are used.)

Pleasant Valley Community School District

**Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Revenue Bonds			
	Revenue	Debt Service		Coverage
		Principal	Interest	
2013	NA	NA	NA	NA
2014	NA	NA	NA	NA
2015	NA	NA	NA	NA
2016	4,182,214	-	92,956	44.99
2017	4,333,461	1,590,000	329,694	2.26
2018	4,415,088	2,840,000	485,652	1.33
2019	5,037,297	2,540,000	299,810	1.77
2020	5,215,928	3,320,000	843,026	1.25
2021	5,117,291	3,390,000	777,884	1.23
2022	6,298,315	3,455,000	709,371	1.51

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax

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Pleasant Valley Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Population (a)	Personal Income (b) (Thousands of Dollars)	Per Capita Personal Income	Scott County Area Unemployment Rate (c) *
2013	20,099	\$ 686,181,820	36,206	5.7%
2014	20,977	727,705,092	36,656	5.3%
2015	21,288	768,940,606	36,236	4.7%
2016	21,438	771,396,005	39,996	4.6%
2017	22,101	857,428,967	40,228	3.7%
2018	N/A	889,086,936	N/A	3.1%
2019	22,980	931,566,012	40,538	3.3%
2020	26,042	972,667,111	37,350	7.1%
2021	N/A	N/A	N/A	5.3%
2022	N/A	N/A	N/A	3.5%

Source:

(a) U.S. Census Bureau

(b) Iowa Department of Revenue

(c) Iowa Workforce Development

Notes: N/A = not available.

* Based on a ten-month period, January through October.

Pleasant Valley Community School District

**Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)**

	Full-Time Equivalent Employees as of June 30			
	2013	2014	2015	2016
Supervisory:				
Superintendent	1.0	1.0	1.0	1.0
Principals	7.0	7.0	7.0	7.0
Assistant principals	5.0	5.0	5.0	5.0
District secretary	0.4	0.4	0.4	-
Business Manager	1.0	1.0	1.0	1.0
Other officials/administrators	1.0	2.0	2.0	3.0
Total supervisory	15.4	16.4	16.4	17.0
Instruction:				
Classroom teachers	201.6	215.1	217.8	233.4
Special education teachers	28.3	28.1	27.3	28.6
Special programs	19.8	22.3	29.2	19.5
Vocational teachers	8.0	8.0	6.8	7.6
Teacher aides	55.8	58.8	62.8	60.7
Instructional technology technicians	2.3	3.3	3.2	3.3
Total instruction	315.7	335.6	347.2	352.9
Student services:				
Social workers	1.0	1.0	1.0	1.0
Counselors	12.2	12.6	12.6	14.0
Library/media specialists	5.5	5.5	5.5	6.0
Nurses	5.0	5.6	5.6	6.6
Total student services	23.6	24.7	24.7	27.6
Support and administration:				
Other support services	-	-	-	10.0
Office/clerical personnel	27.5	28.3	28.5	28.4
Other professional employees	1.0	1.5	1.5	2.5
Technology specialist	2.0	2.0	2.0	2.0
Crafts and trades personnel	3.0	4.0	3.5	4.0
Laborers	1.0	1.0	1.5	2.0
Service workers	43.1	44.1	43.8	46.0
Operative personnel	1.7	1.7	1.7	1.7
Total support and administration	79.3	82.6	82.5	96.5
Total	434.0	459.2	470.7	494.1

Source: District financial records

Full-Time Equivalent Employees as of June 30						Percentage Change 2013-2022
2017	2018	2019	2020	2021	2022	
1.0	1.0	1.0	1.0	1.0	1.0	0%
7.0	7.0	7.0	7.0	7.0	8.0	14%
5.0	5.0	5.4	5.5	7.0	8.8	76%
-	-					-100%
1.0	1.0	1.0	1.0	1.0	1.0	0%
3.0	3.0	3.6	3.7	1.6	1.0	0%
17.0	17.0	18.0	18.2	17.6	19.8	29%
239.5	244.1	247.3	252.2	256.3	273.8	36%
29.0	29.3	30.4	34.8	36.8	38.1	35%
20.5	21.6	22.9	21.3	25.3	29.4	49%
8.5	9.0	8.8	8.5	8.8	9.8	23%
66.5	68.7	71.5	84.3	75.7	95.1	70%
3.0	3.0	3.0	3.0			-100%
367.0	375.7	383.9	404.0	402.8	446.2	41%
1.0	1.0	1.0	1.0	-	-	-100%
13.0	14.0	14.2	14.2	13.6	13.3	9%
7.0	7.0	7.0	7.0	7.0	8.0	45%
6.6	6.9	6.9	6.9	7.0	8.0	61%
27.6	28.9	29.0	29.1	27.6	29.3	24%
10.0	12.0	14.0	13.5	21.4	16.1	100%
31.3	32.8	30.0	27.4	30.6	37.8	37%
3.5	3.5	2.0	2.0	4.0	5.0	400%
3.0	3.0	3.0	3.0	5.0	5.0	150%
3.0	4.0	3.0	5.5	4.9	4.0	33%
2.0	2.0	2.0	2.0	2.0	3.0	200%
44.1	45.9	50.4	48.8	49.9	52.9	23%
1.7	1.2	3.0	3.0	1.7	1.7	1%
98.6	104.3	107.4	105.2	119.5	125.5	58%
510.2	525.9	538.4	556.5	567.5	620.8	43%

Pleasant Valley Community School District

**Operating Statistics
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Certified Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2013	4,230	\$ 36,437,868	\$ 8,614	-2.47%
2014	4,289	39,900,129	9,304	8.01%
2015	4,386	41,559,208	9,475	1.84%
2016	4,532	45,391,590	10,016	5.71%
2017	4,746	47,415,560	9,991	-0.26%
2018	4,922	50,735,977	10,308	3.18%
2019	5,037	52,142,032	10,352	0.43%
2020	5,128	53,008,239	10,337	-0.14%
2021	5,244	55,962,993	10,672	3.24%
2022	5,424	61,741,879	11,383	6.66%

Source: Nonfinancial information from District records. District financial records.

Governmental Expenditures	Cost Per Pupil	Percentage Change	Teaching Staff	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced Price Meals
\$ 41,114,972	\$ 9,720	-1.20%	295	6.97%	12.00%
45,453,563	10,599	9.04%	303	7.07%	11.00%
45,224,769	10,311	-2.72%	303	6.91%	11.00%
58,134,814	12,828	24.41%	321	7.08%	12.00%
65,438,456	13,788	7.48%	320	6.74%	12.00%
73,970,061	15,028	8.99%	326	6.62%	11.00%
67,891,884	13,479	-10.31%	336	6.67%	11.91%
72,327,251	14,104	4.64%	342	6.67%	11.97%
62,058,872	11,834	-16.10%	351	6.69%	12.00%
71,248,693	13,136	11.00%	371	6.84%	14.10%

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Pleasant Valley Community School District

**Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

Employer	2022			2013		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
<u>Scott County</u>						
Davenport Community School District	2,500	1	3.0%			
Deere & Co	2,000	2	2.4%			
Arconic	2,000	3	2.4%			
Genesis Medical Center, Davenport	1,574	4	1.9%			
Tri City Engineering & Integration	1,200	5	1.5%			
Elite Casino Resorts LLC	1,000	6	1.2%			
Cobham North America	900	7	1.1%			
Davenport City Hall Civil	800	8	1.0%			
DIRECTV	600	9	0.7%			
Bettendorf Event Center	600	10	0.7%			
Genesis Health System				4,730	1	5.8%
Alcoa				2,200	2	2.7%
Kraft Foods North America				1,500	3	1.8%
MidAmerican Energy				1,230	4	1.5%
APAC Customer Service Inc.				950	5	1.2%
UPS Distribution				590	6	0.7%
Von Maur				570	7	0.7%
Swiss Valley Farms				550	8	0.7%
Lee Enterprises News/Publishing				490	9	0.6%
Great Dane Trailers				450	10	0.6%
Scott County Total Employment (2021)				82,292		
Scott County Total Employment (2013)				81,552		

Source: Scott County, Iowa Annual Comprehensive Financial Report for Fiscal Year Ended June 30, 2022

Pleasant Valley Community School District

**School Building Information
Last Ten Fiscal Years
(Unaudited)**

School	Fiscal Year			
	2013	2014	2015	2016
Pleasant View				
Square feet	78,343	78,343	80,913	80,913
Capacity*	850	850	850	850
Enrollment	653	628	638	632
Playgrounds	2	2	2	2
Hopewell				
Square feet	64,180	64,180	64,180	64,180
Capacity*	900	900	900	900
Enrollment	323	396	468	545
Playgrounds	1	1	1	1
Cody				
Square feet	45,090	45,090	45,090	54,709
Capacity*	550	550	550	625
Enrollment	311	317	315	320
Playgrounds	1	1	1	1
Bridgeview				
Square feet	47,980	47,980	47,980	54,654
Capacity*	450	450	450	575
Enrollment	343	347	342	383
Playgrounds	2	2	2	2
Riverdale Heights				
Square feet	84,195	84,195	84,195	84,195
Capacity*	800	800	800	800
Enrollment	661	620	642	634
Playgrounds	2	2	2	2
Forest Grove				
Square feet	n/a	n/a	n/a	n/a
Capacity*	n/a	n/a	n/a	n/a
Enrollment	n/a	n/a	n/a	n/a
Playgrounds	n/a	n/a	n/a	n/a
Jr. High				
Square feet	112,405	112,405	112,405	137,937
Capacity*	1,050	1,050	1,050	1,300
Enrollment	661	701	672	668
Playgrounds	-	-	-	-
High School				
Square feet	258,304	258,304	258,304	258,304
Capacity*	1,975	1,975	1,975	1,975
Enrollment	1,250	1,264	1,307	1,338
Playgrounds	-	-	-	-

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each

Fiscal Year					
2017	2018	2019	2020	2021	2022
80,913	81,513	81,513	81,513	81,513	81,513
850	925	925	925	925	925
632	651	713	713	673	651
2	2	2	2	2	2
64,180	64,180	80,486	80,486	80,486	80,486
900	900	875	875	875	875
545	650	709	709	696	649
1	1	2	2	2	2
54,709	60,897	70,060	70,060	70,060	70,060
625	675	700	700	700	700
320	361	394	394	445	424
1	1	1	1	1	1
54,654	54,654	55,254	55,254	55,254	55,254
575	575	600	600	600	600
383	391	407	407	366	374
2	2	2	2	2	2
84,195	84,195	84,195	84,195	84,195	84,195
800	950	950	950	950	950
634	636	680	680	659	636
2	2	2	2	2	2
n/a	n/a	n/a	n/a	84,195	84,195
n/a	n/a	n/a	n/a	950	950
n/a	n/a	n/a	n/a	-	248
n/a	n/a	n/a	n/a	2	2
137,937	141,777	144,719	144,719	144,719	144,719
1,300	1,325	1,325	1,325	1,325	1,325
668	745	844	844	824	800
-	-	-	-	-	-
258,304	353,711	374,704	374,704	374,704	374,704
1,975	2,300	2,300	2,300	2,300	2,300
1,338	1,442	1,540	1,540	1,541	1,643
-	-	-	-	-	-

Pleasant Valley Community School District

**Average Salary by Education Level
Last Ten Fiscal Years
(Unaudited)**

Education Level	Fiscal Year			
	2013	2014	2015	2016
BA				
Total FTE	50.97	58.90	61.90	65.83
Average salary	37,278	39,158	39,121	39,720
BA + 10				
Total FTE	15.00	24.00	27.00	27.00
Average salary	46,213	45,412	45,400	45,918
BA +20				
Total FTE	43.50	37.20	34.83	40.00
Average salary	49,470	51,761	53,297	52,435
MA				
Total FTE	57.00	57.70	57.70	62.79
Average salary	50,094	51,241	51,279	52,252
MA + 10				
Total FTE	39.00	40.00	39.00	42.00
Average salary	57,774	59,974	59,736	60,762
MA + 20				
Total FTE	27.00	27.00	26.00	25.00
Average salary	60,662	63,459	64,688	65,390
MA +30				
Total FTE	47.83	52.43	59.35	62.00
Average salary	64,324	65,592	65,028	66,649
Grand total FTE	280.30	297.23	305.78	324.62
Total average salary	51,974	53,258	53,416	54,069

Source: District personnel records.

Notes:

Full-time instructional employees of the District are employed for all 192 work days, at eight hours per day or 1,536 hours per year. This schedule includes the local instructional salary schedule only.

Not included are state appropriations to increase salaries, i.e., Teacher Quality or Phase II Funds.

Fiscal Year					
2017	2018	2019	2020	2021	2022
66.50 40,822	62.00 41,297	57.00 41,135	63.00 41,996	72.00 42,411	80.00 42,540
21.33 48,135	21.33 48,655	18.34 50,866	20.33 50,521	18.33 51,141	18.33 48,699
41.00 53,220	44.00 53,865	47.00 52,631	38.00 56,463	41.00 56,025	36.17 57,270
72.88 53,461	76.69 54,254	80.80 53,814	96.26 54,563	87.96 56,597	100.16 57,445
38.00 62,138	35.00 62,238	36.59 60,746	28.09 62,150	37.00 63,148	39.00 64,156
30.00 66,154	30.00 67,941	30.00 67,808	26.00 67,983	25.40 67,195	31.17 67,066
66.00 67,734	74.42 69,617	81.50 69,201	86.59 70,945	87.00 72,955	85.00 73,864
335.71 52,284	343.44 56,855	351.23 55,594	358.26 58,044	368.69 58,740	389.83 58,980

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Compliance

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Pleasant Valley Community School District

**Schedule of Expenditures of Federal Awards
Year Ended June 30, 2022**

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Total Federal Expenditures
Indirect:				
U.S. Department of Agriculture:				
Pass-Through Iowa Department of Education:				
Child Nutrition Cluster Programs:				
School Breakfast Program	10.553	FY22 4552	\$ -	\$ 315,995
National School Lunch Program	10.555	FY22 4553	-	2,825,501
COVID-19 National School Lunch Program	10.555	FY22 4056	-	68,111
Commodities -DOD (Noncash)	10.555	FY22	-	124,977
Commodities (Noncash)	10.555	FY22	-	114,333
			-	3,132,922
Total Child Nutrition Cluster, U.S. Department of Agriculture			-	3,448,917
U.S. Department of Education:				
Pass-Through Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY22 4501	-	95,300
English Language Acquisition State Grants	84.365	FY22 4644	-	6,985
Supporting Effective Instruction State Grant	84.367	FY22 4643	-	54,386
Special Education Cluster (IDEA):				
Special Education - Grants to States Part B	84.027	FY22 4525	-	103,058 (1)
Title IV Student Support Academic Enrichment	84.424	FY22 4669	-	14,390
Education Stabilization Fund:				
COVID-19 Elementary and Secondary				
School Emergency Relief (ESSER II) Fund	84.425D	FY22 4048	-	364,934
COVID-19 ARP Elementary and Secondary				
School Emergency Relief (ARP ESSER) Fund	84.425U	FY22 4043	-	130,783
COVID-19 ARP Elementary and Secondary				
School Emergency Relief (ARP ESSER) Fund	84.425U	FY21 4045	-	348,291
			-	479,074
Total Education Stabilization Fund			-	844,008
Pass-Through Mississippi Bend Area Education Agency:				
Career and Technical Education- Basic Grants to States	84.048	FY22 4531	-	19,224
Special Education Cluster (IDEA):				
Special Education - Grants to States Part B	84.027	FY22 4521	-	219,635 (1)
COVID-19 ARP Special Education- Grants to States (Part B- Section 611)	84.027X	FY22 4031	-	33,884 (1)
Pass-Through State of Iowa Vocational Rehabilitation:				
Vocational Rehabilitation Grants to States	84.126	FY22 4598	-	28,000
Total U.S. Department of Education			-	1,418,870
Total Expenditures of Federal Awards			\$ -	\$ 4,867,787

(1) Total Special Education Cluster, (IDEA) Special Education - Grants to States Part B CFDA 84.027 and 84.027X \$356,577.

See notes to schedule of expenditures of federal awards.

Pleasant Valley Community School District

Notes to the Schedule of Expenditures of Federal Awards Year Ended June 30, 2022

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Pleasant Valley Community School District under programs of the federal government for the year ended June 30, 2022. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of Pleasant Valley Community School District, it is not intended to and does not present the financial position, changes in net position or cash flows of Pleasant Valley Community School District.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the schedule are reported on the modified accrual or accrual basis of accounting. Such expenditures are recognized following the cost principles in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Therefore, some amounts presented in this schedule may differ from amounts presented in or used in the preparation of the basic financial statements. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.



Pleasant Valley Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2022**

Findings	Status	Corrective Action Plan or Other Explanation
None.		

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**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 28, 2022.

Our report included an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 87.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Pleasant Valley Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2022 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The signature is written in a cursive, handwritten style. It reads "Bohnsack & Frommelt LLP". The ampersand is stylized, and the letters are fluidly connected.

Moline, Illinois
November 28, 2022



**Independent Auditor's Report on Compliance For Each
Major Federal Program and Report on Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Pleasant Valley Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2022. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Pleasant Valley Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2022.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error; as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- exercise professional judgment and maintain professional skepticism throughout the audit,
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
November 28, 2022

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2022**

I. Summary of the Independent Auditor's Results

Financial Statements

Unmodified

Type of auditor's report issued:

Internal control over financial reporting:

- Material weakness(es) identified?
- Significant deficiency identified?
- Noncompliance material to financial statements noted?

☐ Yes ☒ No
☐ Yes ☒ None Reported
☐ Yes ☒ No

Federal Awards

Internal control over major programs:

- Material weakness(es) identified?
- Significant deficiency identified?

☐ Yes ☒ No
☐ Yes ☒ None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

- Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

☐ Yes ☒ No

Identification of major programs:

CFDA Number	Name of Federal Program or Cluster
Child Nutrition Cluster:	
10.553	School Breakfast Program
10.555	National School Lunch Program
10.555	COVID-19 National School Lunch Program
10.555	Commodities- DOD (Noncash)
10.555	Commodities (Noncash)
Education Stabilization Program:	
84.425D	COVID-19 Elementary and Secondary School Emergency Relief (ESSER II) Fund
84.425U	COVID-19 ARP Elementary and Secondary School Emergency Relief (ARP ESSER) Fund

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒ Yes ☐ No

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2022**

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-22

Certified Budget – Expenditures for the year ended June 30, 2022 did not exceed the amounts budgeted at year-end.

IV-B-22

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-22

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-22

Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-22

Restricted Donor Activity – No transaction were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-22

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-22

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

(Continued)

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2022**

IV-H-22

Certified Enrollment –

Finding: The District identified variances in certified enrollment submitted to the state in October 2021.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-I-22

Supplementary Weighting – No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

IV-J-22

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-22

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

IV-L-22

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-M-22

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2022, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	\$ 12,214,011
Revenue / transfers in:	
Statewide sales and services tax revenue	6,298,315
Interest and other	68,744
Expenditures/transfers out:	
Transfers out	4,855,737
School infrastructure	112,866
Debt service, fees	2,100
Ending balance	<u><u>\$ 13,610,367</u></u>

(Continued)

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2022**

IV-M-22 (Continued)

For the year ended June 30, 2022, the District reduced the debt service tax levy by \$3.10 per \$1,000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

	Per \$1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	\$ 3.10000	\$ 6,298,315



**Pleasant Valley
Community
School District**

BRIAN STRUSZ, Ed.S.
Superintendent

D. MICHAEL ZIMMER
Director of Secondary Education

Belmont Administration Center

CINDY LEWIS, Ed.S.
Director of Elementary Education

MICHAEL L. CLINGINGSMITH,
C.P.A.
Chief Financial Officer

Pleasant Valley Community School District

**Corrective Action Plan
Year Ended June 30, 2022**

Number	Comment	Corrective Action Plan	Completion	Contact Person
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Findings Pertaining to Statutory Reporting:

IV-H-22	There were variances in certified enrollment submitted to the state in October 2021.	See Response and Corrective Action Plan at IV-H-22	June 30, 2023	Mike Clingingsmith
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